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**FOR
AGENDA**

SM/14/274

September 9, 2014

To: Members of the Executive Board

From: The Secretary

Subject: **Kenya—Staff Report for the 2014 Article IV Consultation**

Attached for consideration by the Executive Directors is the staff report for the 2014 Article IV consultation with Kenya, which is tentatively scheduled for discussion on **Monday, September 22, 2014**. Unless an objection from the authorities of Kenya is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Mr. Mecagni (ext. 38202), Mr. Alper (ext. 35907), and Mr. Hobdari (ext. 36276) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Wednesday, September 17, 2014; and to the African Development Bank, the Common Market for Eastern and Southern Africa, and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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KENYA

STAFF REPORT FOR THE 2014 ARTICLE IV CONSULTATION

September 8, 2014

KEY ISSUES

Context: Kenya has embarked on major reforms in line with the 2010 constitution. The new government has started the process of devolution at a fast pace, introducing a reporting framework that allows for monitoring progress and challenges. Macroeconomic stability in a market-friendly environment continues attracting the interest of foreign investors. Kenya placed its first US\$2 billion Eurobond at favorable terms, with proceeds to be used to upgrade power generation and transportation. Promising commercial prospects of oil discoveries have the potential of providing significant foreign exchange and fiscal resources. Kenya is actively participating in the integration of East Africa, showing progress in reducing delays from the port of Mombasa to Kampala and Kigali. Kenyan banks export their successful business models through East Africa and other countries in the region, while complying with upgraded prudential regulations. The Central Bank of Kenya (CBK) maintains proactive financial inclusion policies that have been effective in facilitating access to credit by small and medium enterprises. Thanks to legal reforms, the Financial Action Task Force has removed Kenya from its watch list. Recent terrorist attacks and threats have raised security concerns, especially in coastal areas bordering Somalia.

Outlook and policies: Growth is projected to accelerate to 5.8 percent in 2014/15 on the back of higher public and private investment and measures to improve the business environment. The 2014/15 budget aims at rebalancing recurrent and development spending. Medium-term fiscal policies intend to bring down the debt burden consistent with the East African Community Monetary Union (EAMU) Protocol convergence criteria. Inflation remains broadly in check, but rising food prices and rapid credit growth require careful monitoring by the CBK.

Focus: Discussions centered on the implementation of devolution, in particular on the enforcement of accountability provisions. Some checks and balances are proving effective, such as the required Treasury approval of guarantees for county borrowing. However, a more systematic framework is needed. Staff and the authorities agreed that the scale of transfers to counties magnified government's cash management problems that need to be addressed with the help of the recently introduced Treasury Single Account (TSA). This would also contribute to more effective monetary operations. Discussions also focused on the design of the legal framework for natural resource management aimed at ensuring consistency with public finance management provisions.

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Approved By
**Roger Nord (AFR) and
Chris Lane (SPR)**

A staff team comprising Messrs. Mecagni (head), Alper, Morales, (all AFR), Aljabrin (MCM), Moore (SPR), Abdallah and Ms. Fisher (FAD) visited Nairobi during June 25-July 5, 2014. Mr. Gudmundsson (Resident Representative) participated in the discussions, and Ms. Rose Ngugi from the Executive Director's office joined the mission. The mission met with President Kenyatta, the Treasury Cabinet Secretary Rotich, Central Bank Governor Ndung'u, other senior officials, representatives of the private sector including financial institutions, and the donor community.

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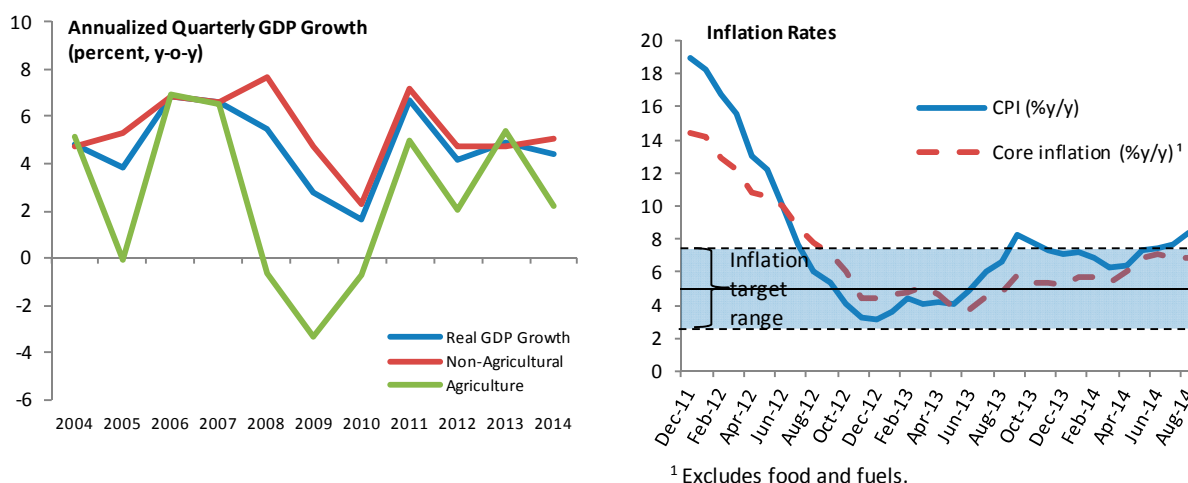
BACKGROUND

1. **Kenya is poised to reap the rewards of extensive institutional reforms and prudent macroeconomic policy in a market-friendly environment.** A surge in public investment in infrastructure; renewed interest of foreign investors in domestic and regional opportunities using Nairobi as a hub; and lower transaction costs helped by improvements in information technology, are expected to lift economic activity. Convergence of interbank rates toward the central bank policy rate, and stability of the market-determined exchange rate reflect a positive impact of macroeconomic policies on credibility and expectations.
2. **The successful debut Eurobond issuance suggests a promising outlook for Kenya to further integrate to global financial markets and reach over time emerging market status.** Long-term financing opportunities to the private sector are opening up in the form of project financing and private equity investment, including for small and medium enterprises (SMEs). Kenya is already taking steps to adapt its policies to rising middle-income-country type challenges.
3. **Kenya's external buffers and the fiscal plans outlined in the Budget Policy Statement are consistent with meeting the EAMU convergence criteria by 2021.** Kenya's foreign reserves, which have continued to increase despite the large current account deficit, appear broadly adequate. In the immediate horizon, fiscal space should be used to improve security conditions, still complicated by terrorist threats. In addition, devolution needs to be managed carefully to overcome transitional problems. In the medium term, decisive action in containing the wage bill and widening the tax base would further increase the room for much needed priority social and infrastructure spending.

GROWTH PICKING UP, WITH VULNERABILITIES

4. **Non-agriculture growth has remained robust, but agriculture has stayed subdued because of poor rains.** Manufacturing, transport, and communications supported non-agriculture growth of 5.1 percent in January-March 2014, compared with 2.0 percent for agriculture in the same period (Figure 1). However, security concerns following terrorist attacks and threats have hit tourism. Weather-related food price hikes and higher electricity rates pushed headline inflation above the upper bound of the inflation target range in recent months (7.7 percent in July; 8.4 percent in August 2014). However, current inflation rates still reflects the one-off impact of higher VAT rates introduced in September 2013.
5. **Monetary policy has remained focused on the inflation target (5 ± 2.5 percent).** The central bank has kept the policy rate (CBR) unchanged at 8.5 percent since May 2013 consistent with broadly stable inflation expectations. However, the potential impact of the recent spike in food and energy prices and rapid credit growth on inflation expectations remains a concern. Money market interest rates have remained close to the CBR despite the impact on interest rate volatility of the government's cash management problems.

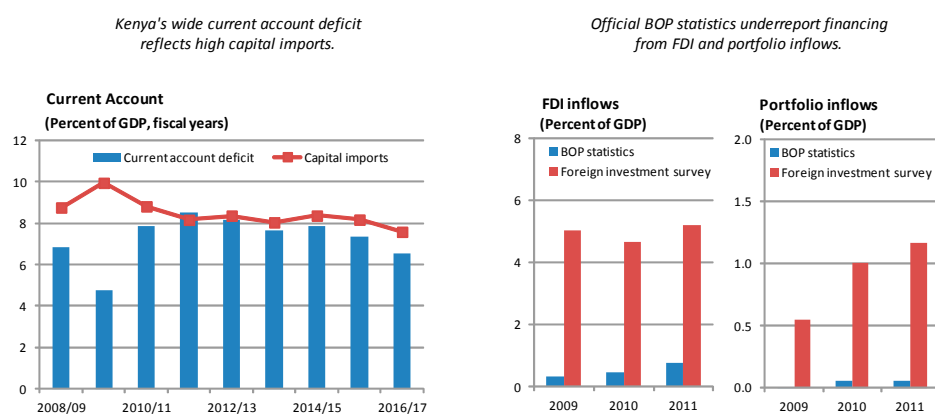
Figure 1. GDP Growth and Inflation



Source: Kenyan authorities and staff projections.

6. **The relatively high external current account deficit (7.7 percent in 2013/14) reflects strong capital-goods imports and a decline in agricultural exports (Figure 2).** Sizable imports of equipment for oil exploration, largely self-financed, respond to an improved outlook for commercial exploitation of hydrocarbons, with a mute impact on the exchange rate. Service exports to the rest of the East African Community (EAC) region, in particular transportation services, have continued accelerating.

Figure 2. External Current Account and FDI



Source: Kenyan authorities and staff projections

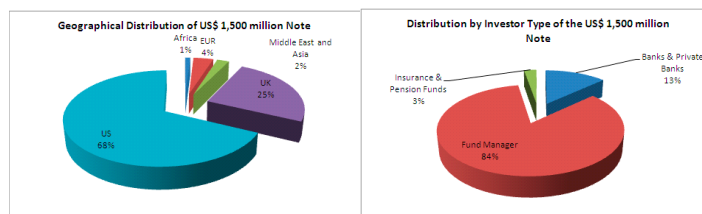
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7. **Kenya successfully tapped international capital markets with a debut US\$2.0 billion Eurobond.** Investors' confidence translated into favorable terms (see Box 1). Of the proceeds, US\$600 million were used to repay a syndicated loan contracted in 2012 and the remaining will substitute for domestic financing of energy and infrastructure projects. In addition, the government signed a loan with China in May 2014 for the construction of the Mombasa-Nairobi standard gauge railway (US\$3.6bn), expected to start in October 2014 and to be implemented in around 5 years.¹

¹ The contract comprises two loans: a 15-year US\$2 billion loan from Eximbank China at Libor plus 3.6 percent, and a 20-year US\$1.6 billion loan from the Chinese government at 2 percent. The government will repay these obligations with resources from Kenya Railways dividends and proceeds from the 1.5 percent railway levy on imports already in place.

Box 1. Kenya's Debut Eurobond Sale

Kenya successfully issued its debut sovereign bond at the end of June. The US\$2.0bn issuance was more than four times oversubscribed, with a strong response by foreign investors reflecting Kenya's good debt management practices.¹ Demand from US investors was dominant with a share of 68 percent of total placement, followed by British investors with 25 percent (see charts below for more details). To spread out rollover risk, the Eurobond was issued in two tranches: a five-year \$500 million bond at a yield of 5.875 percent, and a 10-year \$1.5 billion bond at 6.875 percent.



Sources: Kenyan Authorities and staff projections.

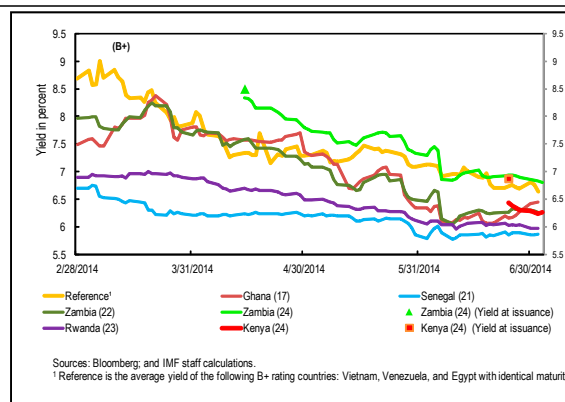
The favorable terms of Kenya's first-ever Eurobond, the largest so far in Sub-Saharan Africa, reflects the unique position of Kenya relative to other frontier markets: (a) Nairobi is a recognized hub in an expanding EAC regional market; (b) the issuance was justified on the basis of new infrastructure projects in energy, transport, and agriculture that aim at supporting growth in the medium term; (c) sound policies, a strong tax base and an active market for government securities reflect a fiscal policy framework largely independent of grants; (d) a conscientious preparation included making difficult decisions such as adapting legislation and assuming minor liabilities previously in litigation. Following issuance, the bond yield in the secondary market has declined below comparable securities such as Zambia's and Ghana's (see chart below).

	Date	Year	Yield at issue	Tenor	\$ spread (in bps)	Size (\$ mn.)	S&P (rating at issue)	Currency	Governing laws	Bond type ¹	Coupon type ¹
Nigeria	1/21/2011	2011	7.125	10	369	500	B+	USD	England	Bullet	Fixed
Senegal	5/6/2011	2011	6.125	10	594	500	B+	USD	Luxembourg	Bullet	Fixed
Namibia	10/27/2011	2011	5.835	10	342	500	Not rated	USD	England	Bullet	Fixed
Zambia	9/13/2012	2012	5.525	10	388	750	B+	USD	England	Bullet	Fixed
Tanzania	2/27/2013	2013		7	600	800	Not rated	USD	England	Sinkable	Floating
Rwanda	4/16/2013	2013	6.746	10	500	400	D	USD	England	Bullet	Fixed
Ghana	12/4/2013	2014	6.305	11	354	1500	BB-	USD	England	Sinkable	Fixed
Zambia	4/7/2014	2014	8.500	10	674	1000	B+	USD	England	Bullet	Fixed
Kenya	6/24/2014	2014	6.875	10	429	1500	BB-	USD	England	Bullet	Fixed
Kenya	6/24/2014	2014	5.875	5	418	500	BB-	USD	England	Bullet	Fixed

Sources: Dealogic, Bloomberg and Kenyan authorities.

¹ Sinkable = Bond backed by a fund, which sets aside money on a regular basis to ensure investors are paid principal and interest. Bullet = Entire face value of bond is paid at maturity.

² Fixed = Fixed percentage of face value is paid in interest. Floating = Variable percentage, often calculated as fixed spread above LIBOR.

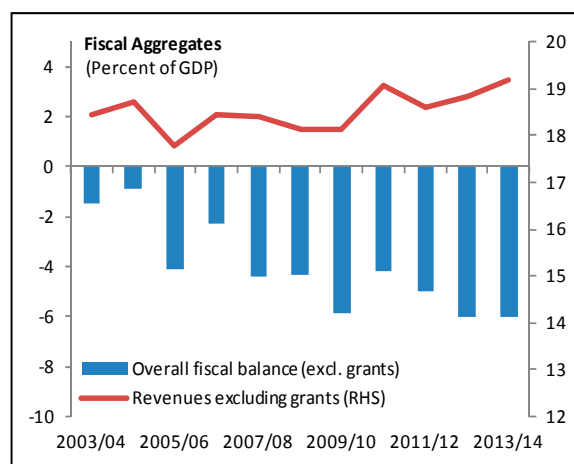


Sources: Bloomberg, and IMF staff calculations.
¹ Reference is the average yield of the following B+ rating countries: Vietnam, Venezuela, and Egypt with identical maturity.

¹According to the Eurobond prospectus, "The Agency Agreements, the Deeds of Covenant and the Notes (including any non-contractual obligations arising from or in connection with any of them) are governed by, and will be construed in accordance with, English law."

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8. **The fiscal deficit in 2013/14 remained unchanged from the previous year.** This reflects higher revenue offset by sizeable transfers to counties and a larger-than-envisaged wage bill. On the other hand, capacity constraints faced by counties during the first year of devolution resulted in low execution rates of their development budget. Consequently, the general government fiscal balance is more favorable than that of the central government in 2013/14.²



Sources: Kenyan authorities and IMF staff

9. **Devolution was rolled out during FY2013/14 at a fast-track pace (Box 2; Annex I).** The government established the new counties in line with the 2010 Constitution, and introduced a reporting framework on budget execution by counties through detailed quarterly reports published by the Office of the Controller of the Budget. However, this fast-track approach has introduced strains in government's cash management, inducing interest rate volatility. Moreover, it complicated teething problems (common to devolution episodes), and the enforcement of the public financial management (PFM) framework. Other challenges have also emerged and—if left unaddressed—could negatively affect fiscal sustainability in the medium term, including wage and payroll issues, debt inherited from previous local authorities, and unfavorable spending composition. The authorities recognize these challenges, and agree with staff's concerns. In particular, they are of the view that revamping the cash management framework and staffing the Intergovernmental Fiscal Relations Department (which would support capacity building at the county level), are crucial steps to mitigate the risks involved.

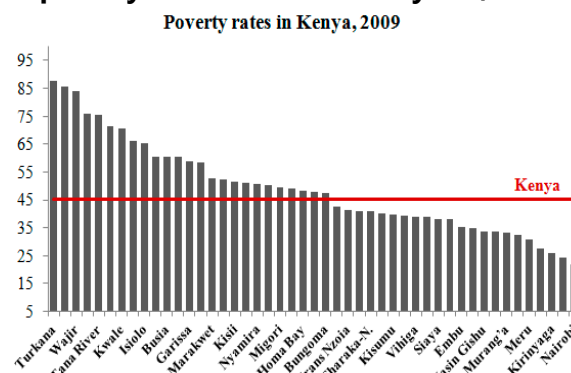
² Staff estimates of the general government fiscal balance are based on county fiscal outturns for the first three quarters.

Box 2. Devolution And Poverty in Kenya

The ongoing roll out of devolution in line with the 2010 constitution provides an important vehicle to reduce poverty across the counties while fostering improvements in the delivery of key services. The redistributive impact of fiscal policies at the local level will hinge on fiscal policies that will be put in place by the 47 newly formed counties and on the efficiency and accountability in the use of devolved resources.

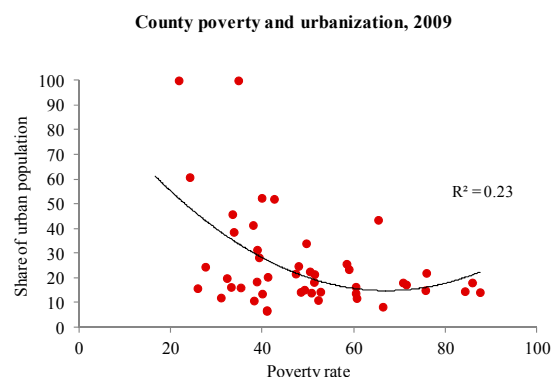
While the share of Kenya's population living in poverty decreased in recent years, considerable differences among counties remain.

Kenya's 2014 Economic Survey shows a decline in poverty rate from 46.6 percent in 2005/06 to 45.2 percent in 2009, with a larger decline in urban areas.¹ The urban poverty ratio in 2009 is estimated to be 33.5 percent (about 3.9 million individuals), while rural poverty ratio is 50.5 percent, with about 13.1 million individuals living below the poverty line.



In line with the 2010 Constitution, central government transfers to counties have increased significantly as part of the devolution process.

The new revenue sharing arrangement (involving no less than 15 percent of national revenues) intends to increase per capita transfers to poorer counties (located in Northern, Eastern and Coastal parts of Kenya) that previously receiving less provision of public services. The process is expected to empower county governments to improve the delivery of key services, including education and health, and invest in much needed social and infrastructure spending.

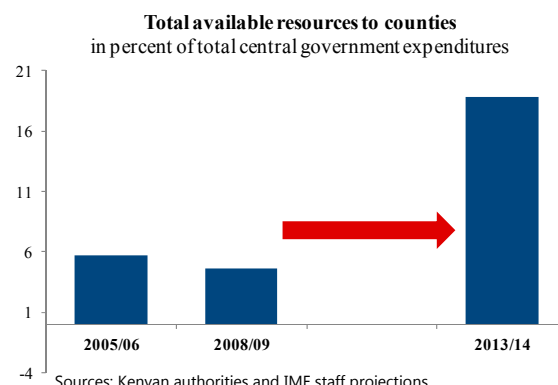


¹A recent World Bank report estimates a further reduction in Kenya's poverty rate to 39 percent in 2012/13 (see World Bank's ["Kenya—Country Assistance Strategy FY2014-18."](#))

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Box 2. Devolution and Poverty in Kenya (concluded)

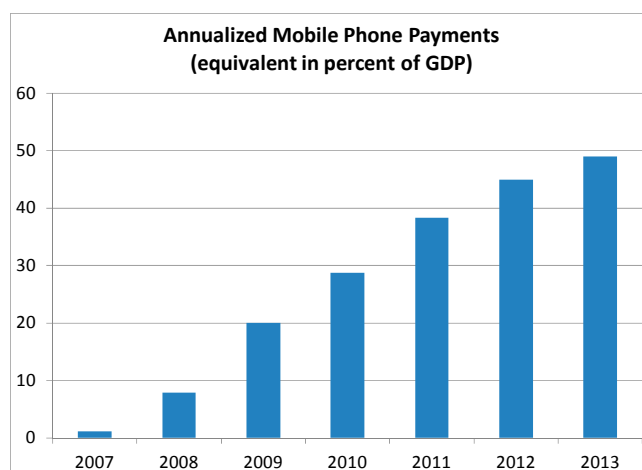
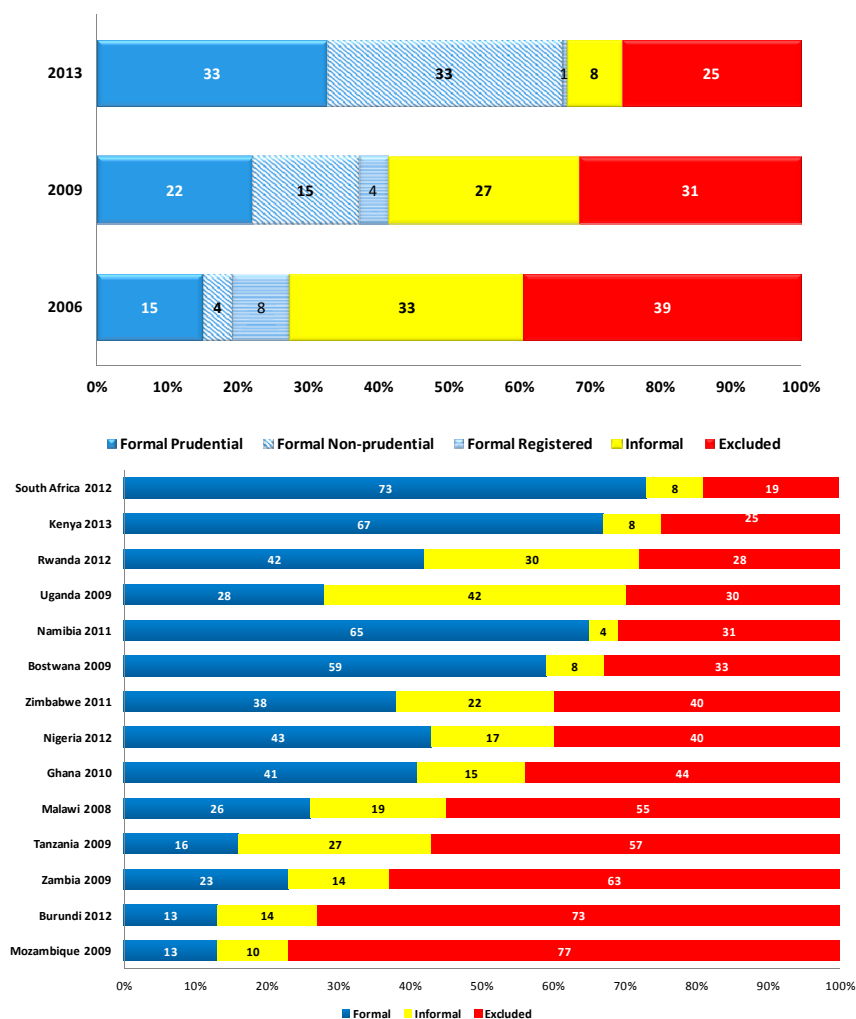
Over time, devolution is expected to help reduce inequality across counties. Reducing poverty will depend on the efficient use of large central government transfers at the county level, with appropriate accountability for spending allocations and outcomes. Efforts to raise own revenues at the local level will further increase room for higher social and infrastructure spending.



10. **Kenyan banks are expanding by raising domestic credit, providing access to new borrowers, and increasing operations beyond Kenyan borders.** Banks remain sound and profitable despite a moderate increase in the non-performing loans (NPL)-to-total loans ratio to 5.6 percent in May 2014 (from 4.6 percent a year before). A pick up in credit growth has been increasingly funded externally, mainly because of a more intensive use of medium-term mostly concessional foreign currency lines for SME project financing, and increased credit limits by international banks to their subsidiaries. Financial inclusion continues progressing (Figure 3) with mobile-banking loans and deposits driven by M-Shwari (7 million customers in its first year of operations) and higher SME access to credit (Box 3).

Figure 3. Financial Inclusion in Kenya

Kenya has a strong record on financial inclusion, helped by the rapid growth of mobile banking.



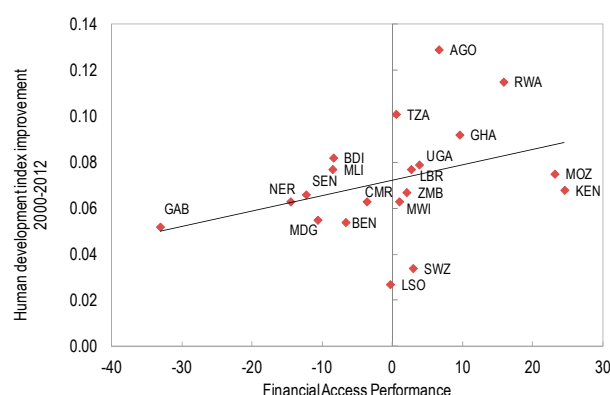
Source: Central Bank of Kenya and Finances.

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Box 3. Impact of Mobile Banking and Financial Inclusion on Welfare

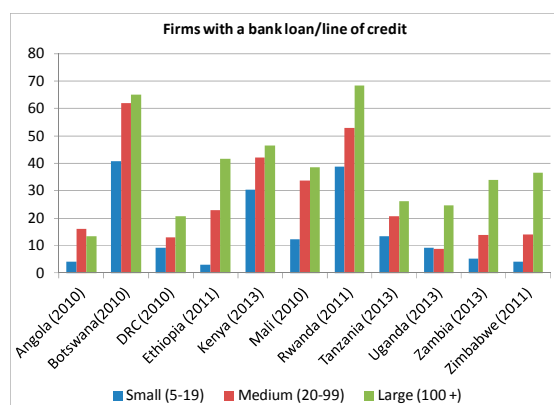
M-Pesa was introduced in 2007 as a means to transfer money via mobile phones. M-Pesa users deposit money into a “cell phone account”, and use SMS technology for transfers and “on demand” payments. Thanks to its use of low-cost technology, overall transaction costs have declined as bills can be paid remotely. Even more importantly, the poor have benefitted the most: M-Pesa reaches 84 percent of population earning less than US\$2 a day. Financial access has increased substantially thanks to M-Pesa: The number of micro accounts in formal financial institutions (deposit accounts below US\$1,200) has increased more than 10 times over the past 10 years.

Lower transaction costs, higher financial access, and continuous innovation, with many products using the mobile payment platform already in place, have an impact on welfare: M-Shwari, a deposit-lending facility tailored to the poor, has 7 million active customers in over a year of operations. Kenyan farmers benefit from schemes to acquire equipment, like water pumps, with repayments being made through M-Pesa; M-Kopa allows the use of solar panels in areas not served by the power grid, with repayments in small installments; small scale health care management systems are able to track procedures, lab tests, drug inventories, via mobile phone devices. The IMF April 2014 SSA Regional Economic Outlook finds a strong relationship between financial access and improvement in

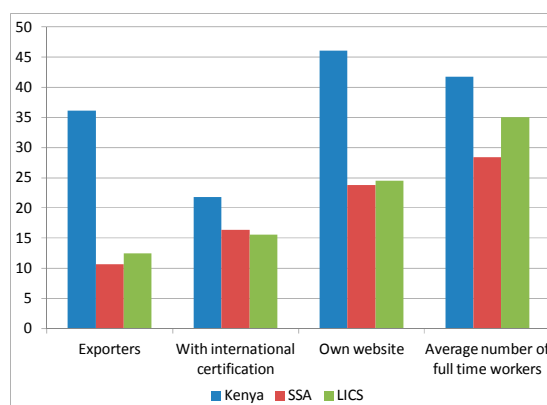


Sources: Kenyan authorities and IMF staff projections.

Human Development Indicators (see right-hand chart). Kenya also stands out among the best performers in SSA in access to credit by SMEs together with Botswana and Rwanda, according to the World Bank Enterprise Surveys (see bottom left chart). Access to credit by SMEs increased to 36 percent in 2013 from 25 percent six years before. The Surveys also show that Kenyan SMEs are more competitive, innovative and more labor intensive than average SSA countries and LICs (see bottom right chart).



Sources: Kenyan authorities and IMF staff projections



Sources: Kenyan authorities and IMF staff projections

FAVORABLE OUTLOOK, BUT WITH RISKS

11. **The outlook is favorable.** Rising domestic and foreign investment are expected to boost economic activity in the short term. The government has embarked on large-scale projects with large impact on domestic value added, including the construction of the Mombasa-Nairobi railway, geothermal plants, irrigation projects, and new oil pipelines. A pickup in private investment explains high credit growth, especially to manufacturing and SMEs. GDP growth is projected to reach 5.8 percent in FY2013/14 from 5.0 percent in the previous year. Over the medium term, public and private investments are expected to rise further providing an additional boost to economic growth. Drivers of growth underlying baseline projections include: (a) improved business conditions owing to the removal of bottlenecks by rising infrastructure investment in energy and transportation; (b) the expansion of the EAC market thanks to decisive steps towards regional integration; (c) reduced social strife as a result of devolution; (d) a more dynamic SME sector thanks to financial inclusion; (e) higher agricultural productivity and reduced medium-term vulnerability of agricultural production to weather shocks reflecting the implementation of large size irrigation projects. A boost in investor confidence following the successful Eurobond issuance could further improve the outlook. An acceleration of regional integration beyond baseline assumptions, marked improvements in security conditions, and possible new discoveries raising oil, gas and mining potential, could have a large impact on investors' sentiment.

12. **Nevertheless, the Kenyan economy remains vulnerable to risks affecting the external and fiscal positions (see Risk Assessment Matrix).** Near-term risks include the potential further deterioration of security conditions, new weather-related shocks following poor rains, and/or additional difficulties in implementing devolution that could complicate PFM. Vulnerability to weather-related shocks would remain high if infrastructure investments in geothermal energy and irrigation do not progress as planned. Rising private medium-term foreign currency liabilities could also increase corporate sector vulnerability to sharp movements in the exchange rate. Protracted slow growth in advanced and emerging economies may also constrain remittances and foreign demand for Kenyan exports. On the other hand, vulnerability to capital flow reversals appears limited; excluding the Eurobond, portfolio inflows have been mostly equity-based.

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Kenya: Risk Assessment Matrix, September 2014¹

Potential Deviations from Baseline			
Risk	Relative Likelihood	Potential Impact	Recommended Policy Response
Domestic and regional			
Return of drought conditions The frequency of droughts has increased in Kenya in recent times, increasing the risk of weather-related shocks.	Medium	High Past shock triggered 2009 disbursement under the Rapid-Access Component of the Exogenous Shocks Facility	- Maintain exchange rate flexibility. - Use external buffer. - Guard against second-round effects on inflation. - Use targeted cash transfers to vulnerable groups and reprioritize spending. - Continue infrastructure spending (irrigation and geothermal).
Deterioration in security situation Terrorist activity could escalate, especially in the area bordering Somalia.	Medium	High Hits to tourism/exports, FDI; risk of reversal of portfolio inflows	Reprioritize fiscal spending to accommodate security needs.
Implementation risk from devolution Delays in addressing transitional problems because of political considerations could complicate public finance management further.	Medium	Medium Transitional devolution risks and potential medium-term challenges	- Maintain fiscal discipline. - Adhere to PFM Act provisions.
Global			
Side-effects from global financial conditions: - Surges in global financial market volatility, triggered by geopolitical tensions or revised market expectations on UMP exit/emerging market fundamentals. - Distortions from protracted period of low interest rates continue to build: excess leverage, especially for corporates; delays in fiscal and structural reforms	High	Medium	- Maintain exchange rate flexibility. - Strengthen financial sector supervision.
	Medium	Medium	
Protracted period of slower growth in advanced and emerging economies: Advanced economies: Lower-than-anticipated potential growth and persistently low inflation due to a failure to fully address legacies of the financial crisis, leading to secular stagnation. Emerging markets: Maturing of the cycle, misallocation of investment, and incomplete structural reforms leading to prolonged slower growth.	High	Medium	Accelerate reforms to address structural weaknesses affecting competitiveness.
	High	Low	
Growth slowdown in China: Continued buildup and eventual unwinding of excess capacity, eventually resulting in a sharp growth slowdown and large financial and fiscal losses (medium-term)	Medium	Low	Improve business environment to diversify sources of FDI.
Regional geopolitical risks (financial flows, commodity prices, and supply chains) Heightened geopolitical risks in the Middle East, leading to a sharp rise in oil prices, with negative spillovers to the global economy.	High	High Kenya is currently a net fuel importer, though recent discoveries suggest potential for future energy exports	- Maintain exchange rate flexibility. - Use external buffer. - Guard against second-round effects on inflation.

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood of risks listed is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability of 30 percent or more). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly.

FOSTERING ECONOMIC TRANSFORMATION BY ADDRESSING VULNERABILITIES

13. **Policy discussions focused on the government's strategy for "Economic Transformation for Shared Prosperity" in its Medium-Term Budget Policy Statement for 2014-**

17. The government's plan contains measures to entrench devolution, improve the business environment, and raise investment in key sectors. In order to make this plan sustainable, the authorities intend to curb fiscal deficits in line with their medium-term debt strategy, complete the devolution process addressing transition challenges promptly, consolidate macroeconomic stability by further modernizing their monetary policy framework, and take steps to continue upgrading capital markets.

A. Fiscal Policy: Making Devolution Work

The central objective of fiscal policy is to maintain gross public debt below Kenya's strategic ceiling (40 percent of GDP in present value (PV) terms), consistent with the EAMU convergence criterion (50 percent of GDP in PV terms). After the initial boost in project spending in FY2014/15, the pace of deficit reduction is consistent with meeting the EAMU convergence criteria by 2021 (ceiling on fiscal deficit including grants of 3 percent of GDP). In the near term, fiscal policy focuses on rebalancing current and development expenditure and increasing fiscal space for social programs, while facing challenges emerging from the ongoing devolution.

14. The government's FY2014/15 budget aims at containing recurrent expenditure and at allocating additional resources to development spending, social programs and security upgrades. The authorities are of the view, shared by staff, that fiscal discipline will provide an orderly framework for a successful and sustainable devolution. In the medium term, fiscal consolidation would help contain external imbalances, while bringing down the net present value of public debt closer to the government's medium-term target. Debt is expected to rise in percent of GDP in the near term mainly because of the Eurobond placement and the large loan from China to finance the Standard Gauge Railway. However, debt remains sustainable and resilient to standard shocks (See Debt Sustainability Analysis Annex). The government plans to set up a sinking fund to build up resources for the eventual repayment of the Eurobond.

15. The 2014/15 budget incorporates important revenue measures. These measures include (a) a revision of the Excise and Income Tax Acts (with LEG technical assistance), (b) higher duties on iron and steel products, (c) improved tax administration, especially in the case of VAT (by implementing LEG and FAD recommendations), and (d) amendments to the Income Tax Act to address tax avoidance by multinationals. Expected higher revenue will also reflect the full-year effects of VAT reforms introduced in September 2013, as well as the impact of adopted measures to

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incorporate landlords into the tax base.³ The authorities expect the measures to yield about 1.3 percent of GDP in 2014/15. Staff supports these efforts to widen the tax base and considers the expected yields reasonable.

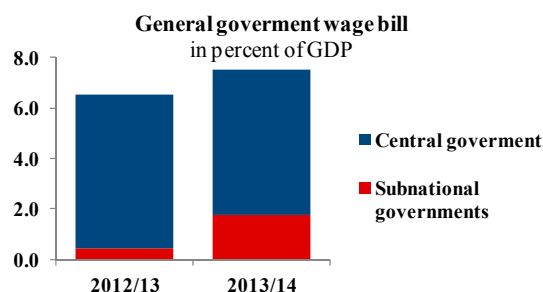
16. **A hiring freeze for this fiscal year and the start of a rationalization process aim at containing the wage bill.** The general government wage bill has been rising in recent years, on account of higher-than-projected wage spending by counties and increases in the central government wage bill.⁴ Staff noted that the rising wage bill is crowding out priority infrastructure spending (See Figure 4). The authorities agreed and emphasized that the planned payroll audits would help identify potential sources of savings, and that streamlining allowances would reduce the observed disparities in gross pay between the private and public sector. The authorities also noted that, based on the findings of the Salaries and Remuneration Commission, the government had launched a process of staff rationalization that will also encompass county governments, to be based on a wage grid that allows comparability with private sector wages. These reforms will be implemented gradually over time, but with a clear timetable of implementation, and in the context of a social dialogue to ensure that they are not reversed.

³ Some specific tax reduction measures with a rather limited impact on revenue were also introduced, such as exempting imports of inputs for the processing and preservation of seeds, and for the generation of wind and solar energy.

⁴ The 2013/14 initial Budget envisaged a lower central government wage bill on account of cost savings related to the staff that were devolved to counties. However, this was more than offset by salary increases and additional recruitment at the central government level in the course of the year.

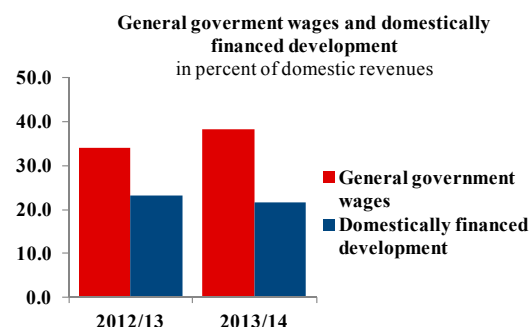
Figure 4. The General Government Wage Bill in Kenya

General government wages are rising in Kenya...



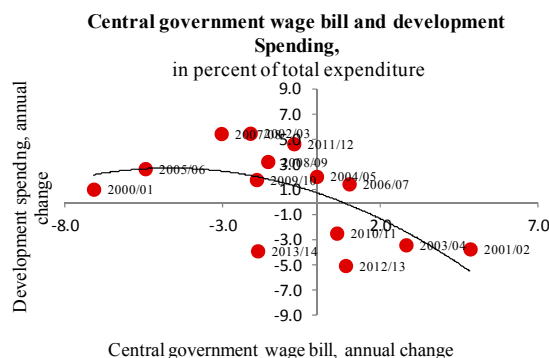
Sources: Kenyan authorities and IMF staff

...and are limiting the fiscal space for priority infrastructure spending...



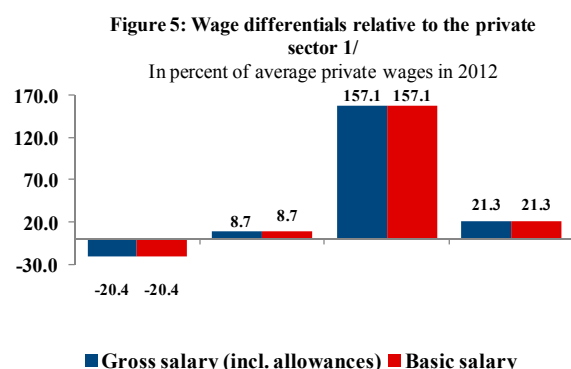
Sources: Kenyan authorities and IMF staff

...leading to a crowding out over time.



Sources: Kenyan authorities and IMF staff estimates.

...and this is mainly due to allowances, even after accounting for socio-economic characteristics of workers.

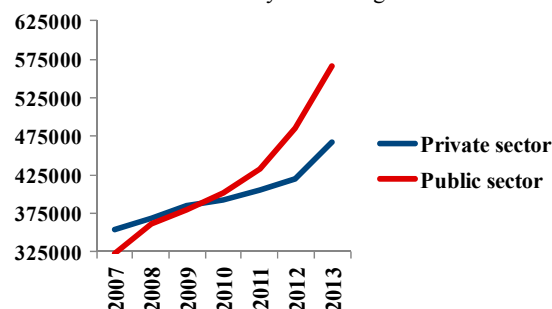


1/ Excludes informal sector wages.

Source: Salaries and Remunerations Commission report (2013) and KIPPRA (2013)

Wages are higher in the public sector and the wage gap has been widening in recent years...

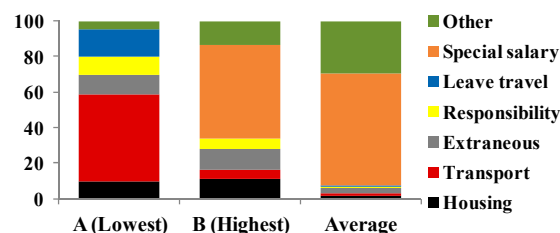
Figure 4: Annual average earnings per employee in Kenya, 2008-2013
In Kenyan Shillings



Sources: Kenyan authorities and IMF staff estimates.

Streamlining allowances and tightening eligibility are key priorities to gradually reduce the gap between public and private sector pays.

Type of allowances by basic salary scale, 2010
In percent of total allowances



Source: Salaries and Remunerations Commission (SRC)

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17. **The authorities consider poverty reduction a key priority.** Despite Kenya's generally better social indicators relative to Sub-Saharan Africa's averages (see Text Table), and notwithstanding the progress made in recent years towards reducing poverty, significant challenges remain. To this end, the 2014/15 budget accommodates additional resources for social programs that support inclusive growth. Specifically, the budget allocation for social programs was increased by about 11 percent in real terms, to finance well-targeted cash transfer programs benefiting the elderly, the disabled, and the orphans. Given the considerable differences across counties (see Box 2), staff shares the view that devolution provides an important opportunity to help alleviate poverty and inequality, through social and development programs at the county level.

Poverty and Social Indicators

	Kenya	Sub-Saharan Africa
<u>Most Recent Estimate (latest year available, 2006-2012)</u>		
Urban Population (percent of total population)	24	37
Life Expectancy at birth (years)	61	56
Infant Mortality (per 1000 live births)	49	64
Child malnutrition (percent of children under 5)	16	21
Access to an improved water source (percent of total population)	62	64
Literacy (percent of population age 15)	72	60
Gross primary enrollment (percent of school age population)	112	100
Male	113	104
Female	111	96

Source: World Bank: Kenya--Country Partnership Strategy FY2014-18.

18. **The authorities give high priority to accelerating development expenditure.** The initiation of large projects is to be complemented by improved absorption capacity, especially in geo-thermal power generation, and by a recomposition of counties' spending to increase the share of development spending. The new Public Private Partnership framework will be fully in place this fiscal year after the forthcoming introduction of regulations and the implementation of the framework to assess contingent liabilities, under preparation with support from the World Bank.

19. **The introduction of the TSA will contribute to more efficient cash and debt management.** This was significantly complicated in 2013/14 by the fast rollout of devolution and by delays in the issuance of the Eurobond relative to original plans. Staff highlighted the importance of putting in place an effective TSA ensuring a cash management system with clear accountability, closely coordinated with debt management functions. The authorities recognize the cash management challenges and are keen on addressing them. Other budget measures aiming at improving efficiency include the introduction of the procurement module of the Integrated Financial Management and Information System (IFMIS) to help reduce the risk of inflated prices in public contracts, and the creation of the Digital Government Payment Gateway to link spending with service delivery online.

20. **The government has identified emerging challenges in the devolution process.** The Controller of the Budget has recommended counties to: (a) make efforts to boost their own revenue collection; (b) put in place all budget execution systems; (c) have annual financial statements audited; (d) empower county assemblies; (e) settle payroll management problems between counties and central government, and (f) fully use IFMIS. Staff recommended, and the authorities agreed, to introduce other measures including (a) adequately staffing the Intergovernmental Fiscal Relations Department to make it fully operational; (b) enhancing accountability using the PFM framework; (c) revising the revenue allocation formula to give more weight to fiscal performance and

accountability; and, (d) properly identifying and verifying county assets and liabilities that were inherited from former local authorities. Additionally, the authorities reiterated their commitment to enforce the procedures for controlling borrowing by counties. These include the requirement for counties to obtain government-approved guarantees channelled through the Debt Management Department of the National Treasury and the Intergovernmental Budget and Economic Council, for which clear procedures will be established.

21. The medium-term budget policy statement includes an assessment of specific fiscal risks. It analyzes fiscal sensitivity to changes in macroeconomic assumptions and identifies risks and mitigating policies related to public-private partnerships, financial sector stability and, possible droughts. In this regard, staff stressed the importance of capturing institutional risks, especially related to devolution (see Box 4). The authorities agreed and noted that they also aim at addressing contingent liabilities risk emanating from government-owned entities by implementing a comprehensive reform that reduces the number of entities (from close to 300 to 187) and introduces a new structure for their operations. To this end, two institutions are to be created: the Government Investment Corporation in charge of commercial entities and the National and County Agencies Oversight Office in charge of other agencies. To avoid new fiscal risks, staff noted these institutions' financial operations should be fully incorporated into the budget.

Box 4 Monitoring and Managing Fiscal Risks in Kenya

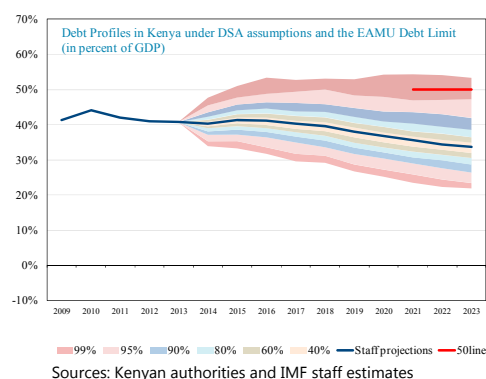
Main fiscal risks in Kenya include the following:

Macroeconomic shocks. A prolonged decline in the baseline projections of economic growth under adverse macro-conditions based on historical data would worsen debt dynamics, but the probability that the PV of gross debt in percent of GDP over the next 10 years would exceed the 50 percent EAMU ceiling during 2021/2023 remains low (5 percent).

Oil and gas discoveries. The fiscal position could deteriorate if government expenditures were to increase on account of expectations for high oil and gas revenues, which do not eventually materialize. The current medium-term budget envelope does not include potential revenues from these sources.

Liabilities of sub-national governments. The nature and magnitude of existing debt of previous local authorities has yet to be verified, and is being disputed by some counties, which entails a risk for the central government. Some counties, such as Nairobi, have inherited some relatively large pending bills that—if not resolved—may pose risks to fiscal sustainability going forward. New borrowing by counties can only take place with a guarantee by the central government. The National Treasury is in the process of developing guidelines on county borrowing, and establishing a database of county financial information to assess the fiscal capacity of counties and their debt sustainability.

Public Private Partnerships (PPPs). Although the PPP Act was approved only in 2013, some PPPs were introduced before its approval, mostly in the energy sector. In addition, a list of 47 national-priority PPP projects have already been identified in various sectors including health, transport, electricity and ports. All contingent liabilities arising from existing and new PPPs need to be assessed by the Department of Debt Management of the National Treasury. An assessment framework will be established with technical assistance from the World Bank.



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Box 4. Monitoring and Managing Fiscal Risks in Kenya (concluded)

Contingent liabilities. Contingent liabilities in Kenya beyond those from PPPs represent an additional fiscal risk. They include guaranteed loans to various public entities that have reached KSh43.5bn (1 percent of GDP), of which 15 percent have been called to date.

State corporations. Transfers to SOEs reached KSh354.3bn (8 percent of GDP) in 2013/14, of which 66 percent for development spending. The national government is in the process of reforming parastatals and other government-owned agencies, including by changing its organizational structure and privatizing some public enterprises. New laws should not create dual budgets during this process.

Wage bill challenges. Public wages are high and have been rising in recent years, crowding out social and infrastructure spending. Wage setting by counties could magnify this problem. The government has embarked on a comprehensive rationalization of the payroll.

22. **The government has initiated institutional and legal reforms for extractive industries.** The Extractive Industry Tax Regime and a new Mining Bill, incorporating inputs from FAD and LEG technical assistance, are already on the Parliament's agenda. Recent oil and gas discoveries have improved prospects for their commercial exploitation (see Box 5). Staff noted that some initiatives require careful design before being introduced: (a) the planned Sovereign Wealth Fund proposed by the Task Force on Parastatal Reform appears premature as long as the fiscal position is projected to remain in deficit, and its eventual introduction would require that provisions are fully consistent with transparent management rules and resources fully integrated into the budget; and (b) the terms of sharing of revenues from natural resource exploitation between the central government and counties should be decided once the volume and expected timespan for the exploitation of available resources are known. The authorities recognize the validity of these concerns. They underscored the importance of safeguarding most natural resource revenues for development purposes, while balancing the need for infrastructure and social spending at the local level to ensure equitable sharing of natural wealth.

Box 5. Managing Natural Resources Wealth

Recent discoveries have showcased Kenya's oil, gas and mining potential. Tullow, one of the main investors in oil fields in Kenya, estimates reserves to be well above the 600 millions of barrels of oil equivalent (mboe), comparable to Equatorial Guinea and the Republic of Congo. If this is confirmed, it could bring Kenya's external current account to surplus soon after exploitation starts. Morgan Stanley estimates that the country could become self-sufficient in oil production within 3-5 years.

Overall, 23 international oil companies are conducting exploration activities in all 44 blocks currently licensed. Companies have been drilling 15 exploration wells between March 2012 and June 2014, an average drilling rate of about 7 wells per year (compared to one every two years in the past). Crude oil has been found in 7 wells (Tullow Oil with Africa Oil as Joint Venture Partner), and natural gas and oil were found in onshore and offshore blocks (Apache and British Gas Group).

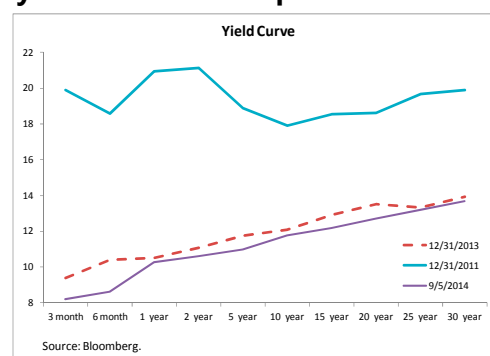
The government plans to undertake reforms of the legal and regulatory framework for natural resources exploitation to enable Kenya to manage its oil and gas resources in a prudent manner. It is in the process of redesigning the framework for oil exploration, the model for production sharing contracts, and the model for terms for natural gas contracts, with FAD and LEG technical assistance. In particular, the petroleum regulatory and fiscal regime dates from 1986 and is in need of modernization. Also, the production-sharing scheme for oil does not reflect properly costs, prices, and production volumes, and needs to be revised. New production-sharing terms for gas need to be specified. For the medium term, a full gas-specific regulatory framework is needed.

The government has also rolled out the Kenya Petroleum Technical Assistance Program (KEPTAP) with World Bank support, to build capacity across the public sector in a number of areas such as geotechnical data acquisition, and implementation of environmental, social and health and safety standards.

B. Enhancing Monetary Policy Effectiveness

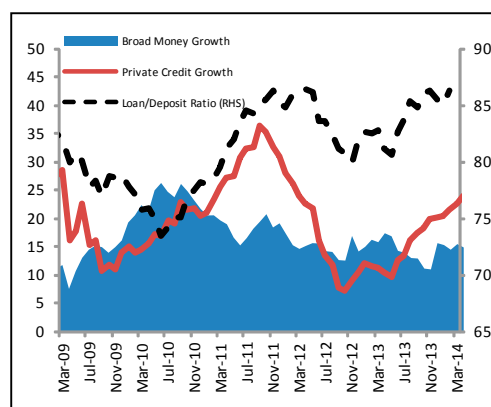
Monetary policy has been effective in keeping inflation expectations in check, despite food and energy price shocks in recent months. Monetary operations have kept money markets liquid despite complications stemming from government's cash management problems partly related to devolution.

23. **Monetary policy has been consistent with broadly stable inflation expectations.** Recent CBK surveys and a stable yield curve suggest that inflation expectations remain contained despite recent price shocks. However, headline inflation has breached the upper band of the target range in recent months and core inflation has been trending up. In addition, credit growth has risen above 20 percent for the last few months, increasing the risk that domestic demand pressures could combine with new price shocks to fuel inflation expectations. The CBK regards the pick up in credit growth as a healthy sign of strengthening of the real economy, especially in the manufacturing sector. Even so, staff recommends that the CBK stands ready to tighten monetary policy to keep inflation expectations anchored around the mid-point of the target band.



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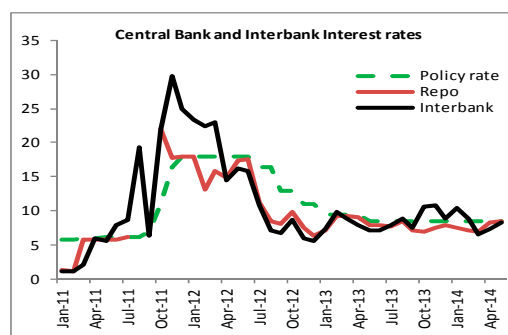
24. **Monetary operations have been successful in maintaining interbank rates close to the CBK policy rate despite government's cash management deficiencies.** The introduction of the TSA provides an opportunity to upgrade cash management by separating Treasury responsibilities from central bank operations, allowing the central bank to focus on managing operations consistent with its monetary policy framework.



Sources: Kenyan authorities and IMF staff estimates.

25. **The CBK continues working towards modernizing its monetary policy framework.** A draft

Central Bank Act (prepared with LEG technical assistance) will be discussed in Parliament in the current fiscal year. The current draft makes achieving and maintaining domestic stability in the general level of prices the overriding objective of monetary policy, and eliminates ambiguities regarding other objectives (financial stability and supporting the economic policy of the government). The CBK's analytical framework



Sources: Kenyan authorities and IMF staff estimates.

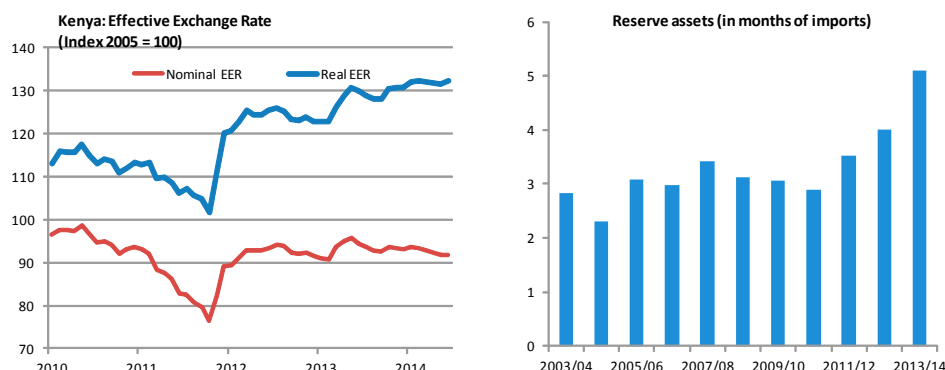
has improved significantly as Kenya's forecasting model has evolved quickly into a practical guide for monetary policy. Further improvements prior to the eventual adoption of inflation targeting would include entrenching the forecasting and policy analysis framework into the processes and structure of the CBK, including establishing a forecasting unit at the Research Department, and committing to maintain CBK financing of government operations at a minimum, including by using the existing overdraft strictly to address temporary shortfalls.

26. **Capital inflows, especially to the stock market, have continued, attracted by a stable macroeconomic environment and a promising regional outlook.** These inflows have contributed to stability in the market-determined exchange rate, with the CBK largely staying out of the foreign exchange market other than to build reserves gradually in line with its reserve cover target. The authorities estimate that these inflows are consistent with a minor real exchange rate overvaluation of about 5 percent. Standard Fund approaches show moderate, albeit a bit larger, deviations from fundamentals. However, the flexibility of the exchange rate and uncertainties surrounding the balance of payments data raise doubts about the possibility of a large departure from fundamentals (see External Stability assessment). The share of foreign investors in the stock exchange's annual US\$2 billion turnover has remained slightly above 50 percent, while foreign inflows to the bond market have increased but remain modest partly because of macro-prudential regulations limiting the term for currency swaps by non-residents to one year or more.

Figure 5. Exchange Rate and International Reserves

Kenya's nominal exchange rate has been stable since end-2011; the real effective exchange rate has gradually appreciated.

The authorities have taken opportunities to build a reserve buffer, while leaving the exchange rate largely market-determined.



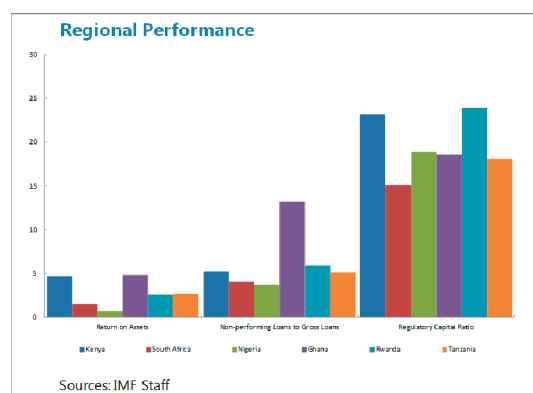
Sources: Kenyan authorities and IMF staff projections.

27. **The authorities' recent introduction of a reference rate for floating interest rate bank facilities aims at increasing transparency in credit markets.** Following the recommendation of a task force on measures to reduce the cost of borrowing, the government introduced the Kenya Bank Reference Rate (KBRR) to allow customers to better compare lending rates across banks. The KBRR is defined as the 60-day average of the CBK policy rate and the 90-day T-bill rate, and is set for 6 months unless market conditions change significantly. Staff noted, however, that its design may lead to undesirable side effects. In particular, the use of the policy rate in the computation of the KBRR would put an additional burden on monetary policy decisions as the public could perceive that lending rates are set by the CBK. Moreover, fixing the reference rate for floating rate loans for six months would paradoxically act against transparency, as banks would be required to adjust the risk premium for the same borrowers as market conditions change during the six-month period.

C. Financial Policy: Supporting Banks' and Capital Markets' Expansion

Financial policies have facilitated financial inclusion and supported the development of capital markets. Prudential supervision needs to adapt to challenges arising from this expansion, as reflected in high credit growth, the incorporation of new users of financial services, and the growing operations of Kenyan banks abroad.

28. **Kenya's impressive record on financial sector development may entail new risks in an environment of high credit growth.** Staff noted that rapid financial deepening, while welcome, may raise risks for financial stability. The authorities concurred that credit growth had accelerated sharply in lending to manufacturing, real estate, telecommunications, business services and individuals. They noted, however, that to a large extent, this acceleration on credit growth is explained by an upward shift in credit demand consistent with the initiation of new projects.



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On the other hand, NPLs have increased only moderately, especially in sectors affected by external shocks: agriculture (bad weather), tourism (lower arrivals), and construction (delays in payments to contractors). The Banking Supervision Department closely monitors these risks, and regards the impact of rising NPLs on banks' financial statements as largely manageable.

29. **Capital requirements have increased as market and operational risks are incorporated into the prudential framework.** Systemic banks have been moving ahead of new regulations, increasing capital through capital injections or bond issuance. They also have been adopting internal capital adequacy assessment processes in line with CBK regulations introduced in 2013. Despite higher capitalization, Kenyan banks have shown higher profitability than their peers in other SSA countries.

30. **Proactive inclusion policies have been effective.** The CBK recently introduced upgraded credit bureau regulations to facilitate the use of borrowers' information following a review of recent experience. Also, a new Microfinance Act allows microfinance institutions to expand their scope of operations and extends CBK's prompt corrective action capabilities to the supervision of microfinance institutions. The CBK also introduced payments system regulations for the provision of electronic retail transfers, with reference to relevant Anti-Money Laundering (AML) requirements to guide the operations of mobile payment service providers.

31. **The authorities concur with the view that cross-border expansion of Kenyan banks has been largely driven by a follow-your-customer strategy in the region.** In addition, opportunities have opened in markets showing higher potential (South Sudan), while high penetration in Kenya limits the scope for further expansion. In order to address challenges in this area, the CBK has established three supervisory colleges to conduct joint assessments of the most important Kenyan financial groups. Initial discussions on crisis management and banking resolution coordination are already taking place with other regional supervisors. However, the authorities recognize that differences in capacity between home and host supervisors, especially those from high risk jurisdictions, which may translate into information quality problems and delays that would place a greater burden of vigilance on the home supervisors to ensure that risks are contained (See Box 6).⁵

⁵ The CBK has also introduced guidelines on non-operating holding companies to simplify organization structures and strengthen capital requirements at the financial group level.

Box 6. Cross-Border Activities of Kenyan Banks

Kenyan banks have expanded throughout East Africa, becoming dominant players in some markets.

Kenya Commercial Bank, Kenya's leading financial institutions, was the first Kenyan bank expanding to Tanzania in 1997. Today, eleven Kenyan banks with 288 branches operate in the East Africa, including South Sudan. Kenyan banks have entered East African markets mainly through subsidiaries. Kenyan banks are currently exploring opportunities in countries out of East Africa including DR Congo, Ethiopia, Malawi, Somalia, and Zambia.

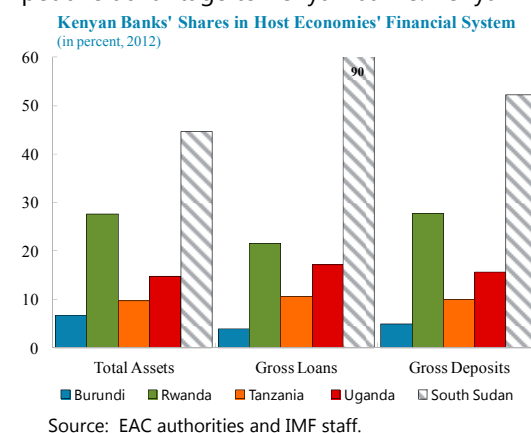
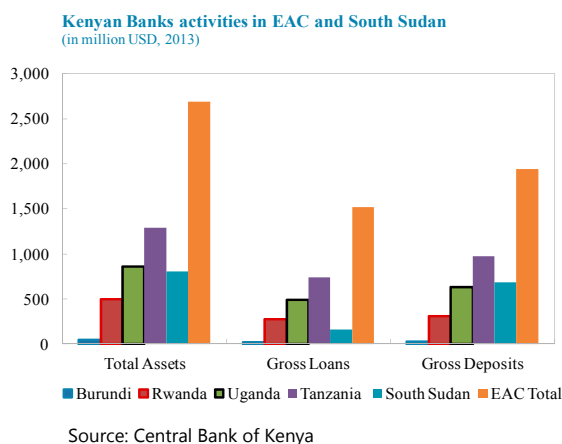
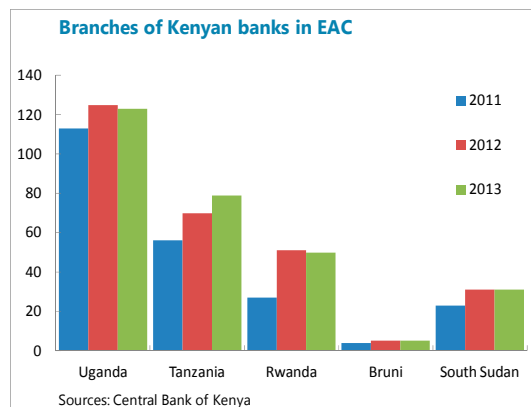
Cross-border expansion of Kenyan banks has been driven by market considerations.

Following customers is a strong motive for Kenyan banks serving the regional corporate sector, in sectors such as agricultural commodities, manufactured products, and retail trade. Risk diversification and greater profit opportunities in unexplored markets (South Sudan) also provide opportunities to banks serving the retail sector. Transnational Kenyan bank assets have increased by 35 percent annually on average since 2011. Cross-border activities of Kenyan banks account for 10-12 percent of their banking operations in terms of assets, loans, and deposits. Eight subsidiaries in four countries registered losses, mainly banks at the initial stages of expansion in markets showing intermediate penetration, such as Uganda.

Kenyan banks are becoming systemically important in the region. East African banking systems other than Kenya's are less developed and capitalized, which gives a competitive advantage to Kenyan banks. Kenyan banks are dominant in South Sudan with 45 percent of banking assets, and in Rwanda with 28 percent, a high share compared with South African and Nigerian banks, operating in 25 and 9 countries respectively, with an average share of 10 percent of assets each in host markets.

CBK continues its efforts to establish strong relationships with regional regulators to enhance surveillance of Kenya's transnational banks.

The CBK has set up supervisory colleges for Kenya Commercial Bank, Equity Bank, and Diamond Trust to conduct joint inspections, and plans to establish 2 more supervisory colleges in 2014. The CBK has also signed Memoranda of Understanding (MOUs) with regulators in EAC countries, South Africa, Nigeria, and Mauritius to promote supervisory cooperation.



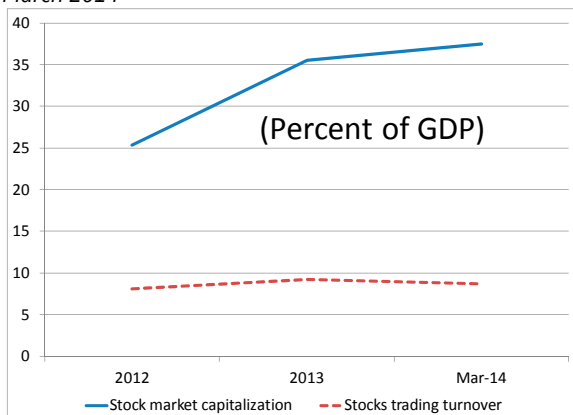
KENYA

32. **Supported by reforms, capital markets activity is picking up driven by both foreign and domestic investors.** Stock market capitalization increased by 25 percent in the year up to March 2014 because of higher valuation, to an equivalent of 40 percent of GDP, with trading driven by foreign investors. The much larger secondary market for government securities continues being driven by domestic investors, with institutional investors largely buying to hold. Recent reforms would continue to support the expansion of capital markets: The recently released capital market master plan will encourage infrastructure financing and the use of derivatives; the recently concluded process of demutualization of the stock exchange will facilitate the entry of new players to the stock exchange; the planned unification of financial regulators under the Financial Service Authority intends to facilitate coordination to assess cross-over risks; and the automation of over-the-counter trading of treasury bills would attract new investors to the government securities market (Figure 6).

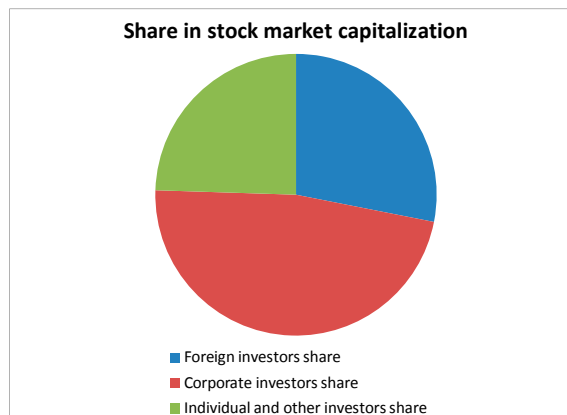
33. **Kenya was removed from the Financial Action Task Force (FATF) watch list in June 2014.** The FATF considered that recent legal and regulatory reforms and the establishment of an operational Financial Reporting Center merited the removal of Kenya from the list of countries subject to a monitoring process aimed at addressing AML/CFT deficiencies. The authorities are encouraged to continue their efforts in effectively implementing the AML/CFT framework to facilitate the government's plans to establish Nairobi as a robust international financial center.

Figure 6. Kenya: Capital Market Indicators

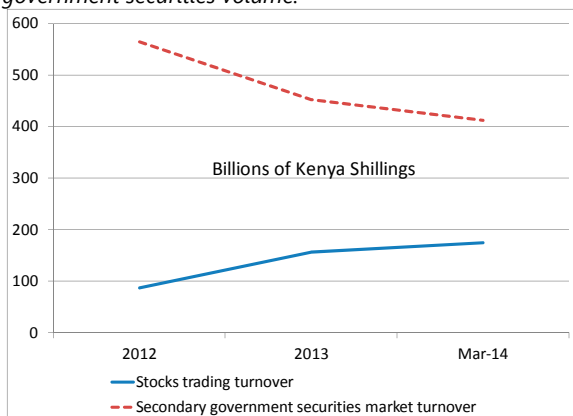
Stock market capitalization reached a record high in March 2014



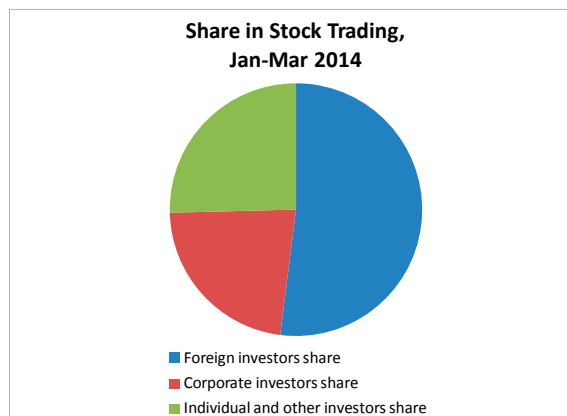
With corporate investors holding a large share



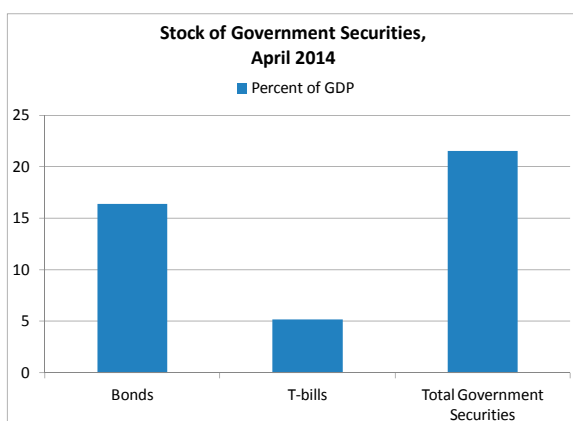
Stock trading is growing, but it is still way below government securities volume.



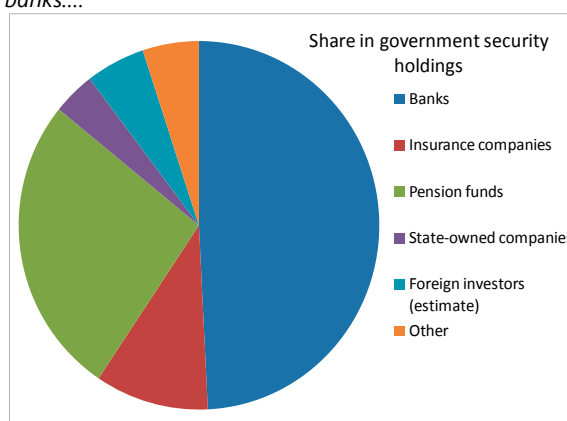
With trading dominated by foreign investors....



Bonds are the dominant form of securities in the market...



And institutional investors are almost as important as banks....



Sources: Capital Markets Authority and Central Bank of Kenya.

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D. Transition to Frontier/Emerging Market Status

A successful transition to emerging market status will require continued macroeconomic stability, improved security, and better quality of data. With Kenya more active in international financial markets, regulatory bodies need to strengthen monitoring of market, currency and liquidity risks in the financial and non-financial sectors.

34. **The authorities intend to take measures to upgrade the business environment and improve security conditions.** Their plans include simplifying regulations, rationalizing procedures, removing barriers to entry, and improving the delivery of government services to business. The government has announced the establishment of: (a) an investors relations office, (b) a one-stop investment shop, and (c) the expansion of one-stop public-service centers (Huduma centers) to lighten the bureaucratic burden on firms. The security modernization program that started last year includes the expansion of the police force and the upgrade of its equipment.

35. **Compilation and dissemination of economic information is high, but data quality in some key sectors is low.** The authorities are taking steps to address these limitations. One important step in this regard was the national accounts revision, that lifts nominal GDP by 20-25 percent (Box 7). However, data availability is more limited in other areas, chiefly: (a) key social indicators are only available for 2005/06 (the year of the last household survey); and, (b) balance of payments data fail to differentiate short-term from long-term inflows properly (see annex in Staff Report for the Sixth Review under the ECF). Further areas for improvement include the availability and timeliness of production indices, labor market information, and the international investment position, especially private debt information.

Box 7. National Accounts Revision

The Kenya National Bureau of Statistics (KNBS) is revising Kenya's national accounts for the period 2006-2013. The revision was supported by STA technical assistance under the Enhanced Data Dissemination Initiative. Release of a full time series consistent with this revision is scheduled for September 2014. Based on details provided in the KNBS 2014 Economic Survey released in May 2014, estimates used in this report take into account that:

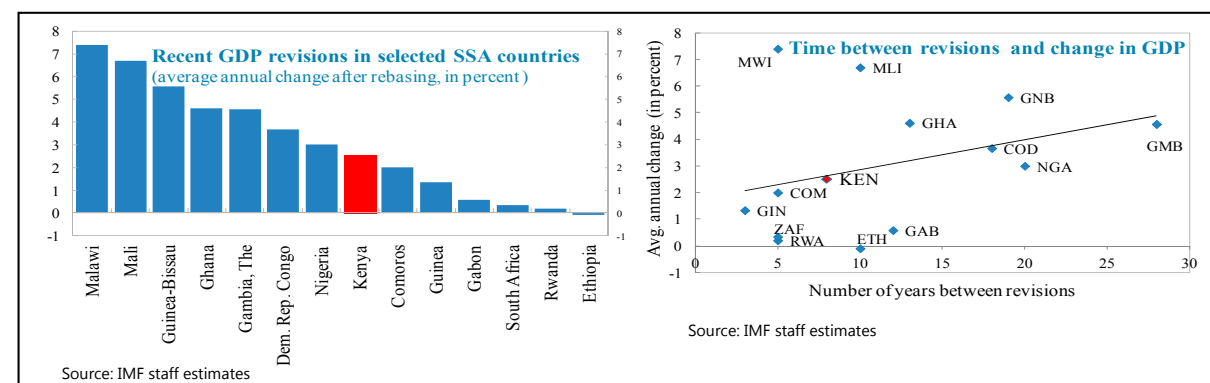
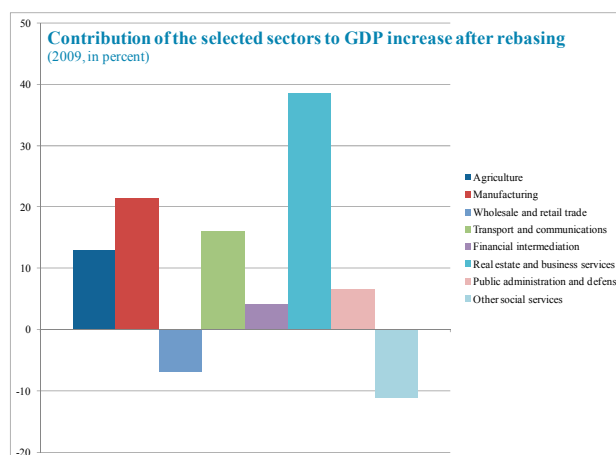
- The revised 2013 GDP will be higher by about 25 percent than the 2001-based GDP, reaching about \$55bn.;
- The revised 2013 per capita GDP would reach about \$1,325, closer to middle-income status.

The KNBS revision, initiated in 2010, will change the base year from 2001 to 2009.

Because of improved coverage and upgraded sources of information, the value added of agriculture, financial activities and the informal sector are being revised upwards, while more appropriate measurement result in a reduction in the contribution of wholesale and retail trade.

Other Sub-Saharan countries have recently concluded national account revisions. Their

revisions were of a larger magnitude relative to Kenya, reflecting significant changes in the structure of their economies, for example because of the incorporation of booming sectors such as banking, telecoms and entertainment to the spectrum of economic activities, and significant expansions in coverage



36. **Kenya has also taken important steps to support East African integration.** Customs revenue collection for some EAC members (Rwanda, Uganda) already takes place in Mombasa, with preliminary indicators showing improved revenue for Uganda and Rwanda. Delays in border posts are sharply reduced. The government has committed to streamline port services in Mombasa, with commitment to specific targets by all entities involved.

STAFF APPRAISAL

37. **Kenya's economy has continued to grow in a broadly stable macroeconomic environment.** Credit to the manufacturing sector has picked up and foreign investor interest is growing, notably in the extractive industries. However, headline inflation has risen above the upper band of the inflation range in recent months, and further food price shocks in the context of rapid credit growth may fuel inflation expectations. The CBK should stand ready to tighten monetary policy to keep inflation expectations anchored around the mid-point of the target band. The market determined exchange rate has remained stable. A successful sovereign bond issue and its recent exit from the FATF's monitoring process attest to the authorities' progress in establishing Kenya as a robust financial center.

38. **Kenya faces a positive outlook, but remains vulnerable to important risks.** Domestic risks related to devolution and security concerns are important, and, if not addressed decisively, could turn into long-term drags to sustained growth. Kenya remains vulnerable to weather-related shocks in the short term and to the possibility of a renewed downturn in advanced and emerging economies.

39. **Maintaining a strong foreign exchange reserves position with exchange rate flexibility will help cushion the impact of potential shocks.** A comfortable foreign reserve buffer will continue playing a key role in minimizing uncertainty. Likewise, improving liquidity forecasting will support continued prudent monetary policy, which should stand ready to anticipate changes in inflation expectations when taking monetary policy decisions.

40. **Kenya's debt remains sustainable, but rising contingent liabilities are a fiscal risk.** It is important to maintain a prudent fiscal stance consistent with Kenya's medium-term debt target while pursuing a shift in the composition of expenditure towards development priorities. Controlling the wage bill at both national and county level should be a priority. Together with improving the quality and efficiency of public spending, these policies will be essential to create sufficient fiscal space for well-targeted social programs and increasing infrastructure investment. Continued efforts to mobilize domestic revenue are also required to fund these priorities. Reform of government-owned agencies to reduce contingent liabilities is welcome. Its implementation should maintain consistency with the overall PFM framework.

41. **Devolution holds great promise for promoting inclusive growth and improving social conditions for the Kenyan population.** Considerable progress has been made during the first year of the process. However, accountability, compliance with the legal framework and implementation capacity need to be further strengthened to effectively maximize the benefits of devolved resources, improve the provision of public services and mitigate fiscal risks. Strengthening capacity-building in public financial management is key to ensure that the high expectations raised by devolution are met, and underscores the importance of making the Intergovernmental Fiscal Relations Department fully operational. Priority areas are the adoption of the PFM Act regulations, a formal agreement between the central government and counties on outstanding liabilities, and stronger oversight on the use of public resources.

42. **The launching of the Treasury Single Account provides an opportunity to overhaul the government's cash management systems.** Strengthening cash management will help to avoid undue pressure on payment flows and interest rates, and reduce borrowing costs for the government and the private sector. Also, it allows the central bank to focus on their monetary operations when participating in money markets through monetary operations.
43. **Putting in place an effective natural resource management of recent oil and gas discoveries will pay high dividends in terms of available foreign exchange and fiscal resources.** Once confirmed to be commercially viable, these findings have the potential to further accelerate economic growth and reduce drought-related and geopolitical risks. A sound fiscal framework consistent with the PFM Act, including transparent management rules and the full integration of these resources into the budget, is required for Kenya to fully realize this potential.
44. **Banks are expanding beyond borders and at the same time facilitating financial inclusion.** Continued efforts in consolidated supervision of systemic groups are needed, accompanied by cross-border cooperation with regional supervisors in information sharing, joint prudential oversight and resolution procedures. Domestically, the rapid increase in financial inclusion has opened up the possibility of extending credit at more affordable rates to small and medium-sized enterprises. The policy of maintaining an enabling environment, while improving the prudential framework, has served Kenya well and its experience striking this difficult balance is an example to LICs and even emerging market countries.
45. **Accelerating the regional integration process will contribute to positive investor sentiment and the diversification of Kenya's export base.** Commitment to the East African Monetary Union Protocol's convergence criteria supports the integration process. Kenya's role in reducing shipment delays to neighbor countries enhances the benefits of integration. It is essential that non-tariff barriers are removed to bring down significantly the cost of doing business in the region.
46. **Data quality improvement should be given higher priority.** Transitioning to emerging market status will make Kenya subject to more intensive monitoring by private investors, rating agencies, international banks, and multinational companies. Improved availability of data should be complemented by upgrading in particular the quality and scope of information on the balance of payments, social indicators, and the labor market.
47. **It is proposed that the next Article IV consultation for Kenya takes place within 12 months, subject to the decision on consultation cycles.**

KENYA

Table 1. Kenya: Selected Economic Indicators, 2012/13–2018/19¹

	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19
	Act.	Prelim.	Projections				
(Annual percentage change; unless otherwise indicated)							
National accounts and prices							
Nominal GDP (market prices, in billions of Kenya shillings)	4,497	5,051	5,734	6,525	7,420	8,416	9,504
Real GDP growth (market prices)	4.6	5.0	5.8	6.3	6.5	6.5	6.6
GDP deflator (average) ²	6.7	6.9	7.2	7.0	6.7	6.4	5.9
Consumer price index (annual average) ²	4.6	7.1	6.5	5.2	5.0	5.0	5.0
Consumer price index (end of period) ²	4.9	7.4	5.3	5.0	5.0	5.0	5.0
Import volume growth, goods	6.8	3.6	8.3	11.2	7.6	8.8	8.8
Import value growth, goods	3.2	5.0	11.2	9.2	7.8	8.7	9.6
Export volume growth, goods	8.2	0.7	6.2	10.3	10.0	10.6	10.7
Export value growth, goods	2.8	-5.3	4.1	9.1	10.4	11.1	11.3
Terms of trade, goods, and services (Base year 2000)	-4.2	-6.2	-1.3	1.5	0.6	1.2	0.7
Ksh per US\$ exchange rate (end of period)	85.8	87.6					
Nominal effective exchange rate (- depreciation; end of period)	1.2	-2.7	...	...	...	...	...
Real effective exchange rate (- depreciation; end of period)	3.6	1.9	...	...	...	...	...
Money and credit							
M3 (broad money and foreign currency deposits, end period)	14.2	21.4	...	...	...	...	...
Reserve money	11.7	16.0	...	...	...	...	...
(In percent of GDP; unless otherwise indicated)							
Investment and saving							
Investment	18.7	18.7	22.3	22.6	23.2	23.1	22.8
Central government	6.6	6.2	8.6	8.7	9.0	8.8	8.5
Other	12.1	12.5	13.7	14.0	14.2	14.3	14.3
Gross national saving	10.6	11.0	13.9	14.7	16.1	16.5	16.5
Central government	0.8	0.2	2.1	2.9	3.6	4.0	4.1
Other	9.8	10.8	11.8	11.7	12.5	12.6	12.5
Central government budget							
Total revenue	18.8	19.2	20.5	20.5	20.6	20.9	20.9
Total expenditure and net lending	24.8	25.4	27.2	26.4	26.1	25.8	25.3
Overall balance (commitment basis) excluding grants	-6.0	-6.2	-6.7	-5.9	-5.5	-4.9	-4.4
Overall balance (commitment basis) including grants	-5.5	-5.7	-6.2	-5.5	-5.1	-4.6	-4.1
Primary budget balance	-2.5	-3.0	-3.7	-3.0	-2.7	-2.2	-1.7
Net domestic borrowing	3.8	4.0	2.7	2.8	2.4	2.2	1.5
General government overall balance including grants ³	-5.2	-4.7	-5.7	-5.4	-5.3	-4.8	-4.5
Balance of payments							
Current account balance	-8.1	-7.8	-8.4	-8.0	-7.1	-6.5	-6.3
Current account balance, excl. capital imports and official transfers	-0.2	0.0	0.0	0.4	0.9	1.2	1.3
Exports value, goods, and services	20.8	18.8	18.1	17.9	17.8	17.8	17.9
Imports value, goods, and services	34.1	32.0	32.2	31.6	30.8	30.3	30.0
Gross international reserve coverage							
In billions of U.S. dollars (end of period)	6.2	7.5	8.3	9.3	10.3	11.2	12.5
In months of next year imports (end of period)	4.0	4.3	4.4	4.6	4.6	4.6	4.6
Public debt							
Total public debt, gross (percent of GDP)	42.1	42.2	45.8	45.5	45.4	45.0	44.3
Of which: external debt	18.8	19.4	19.0	19.3	19.7	19.7	20.1
Of which: domestic debt, gross	23.4	22.8	26.8	26.2	25.7	25.2	24.2
Total public debt, net of deposits (percent of GDP)	37.6	38.2	40.7	41.3	41.4	41.1	40.5

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Incorporates Staff estimates for pending upward revisions to GDP, which the authorities expect to release in September 2014. Fiscal years are from July 1 to June 30.

² The consumer price index series was revised in November 2009 based on a new methodology.

³ General government includes central government and county government, and excludes extra budgetary funds (EBFs) and central government units with individual budgets for which regularly published data are not available.

Table 2a. Kenya: Central Government Financial Operations 2012/13–2018/19

	2012/13	2013/14		2014/15		2015/16	2016/17	2017/18	2018/19
	Act.	Budget	Estim	Budget	Proj	Proj	Proj	Proj	Proj
<i>(in billions of Kenyan Shillings, unless otherwise indicated)</i>									
Revenues and grants	868.2	1,106.2	994.4	1,238.4	1,204.8	1,363.8	1,555.8	1,785.2	2,016.4
Revenue	847.2	1,028.5	969.2	1,180.5	1,175.5	1,335.5	1,529.5	1,758.5	1,986.3
Tax revenue	701.2	862.9	851.8	1,006.5	1,006.5	1,145.9	1,313.7	1,508.7	1,703.2
Income tax	373.4	459.0	449.6	541.9	541.9	619.8	712.0	812.5	917.5
Import duty (net)	57.7	69.0	67.6	77.7	77.7	89.6	102.4	116.4	134.7
Excise duty	85.5	113.1	102.0	119.8	119.8	132.5	151.8	177.1	203.4
Value-added tax	184.6	221.8	232.6	267.1	267.1	304.0	347.5	402.7	447.5
Nontax revenue	146.1	165.6	117.4	174.0	169.0	189.6	215.8	249.9	283.1
Investment income	15.3	17.7	10.2	17.4	17.4	19.8	22.5	25.5	28.8
Other	63.0	67.1	57.0	62.5	62.5	71.1	80.9	96.7	109.2
Ministerial and Departmental Fees (AIA)	49.7	67.3	30.5	71.2	66.2	72.3	82.3	93.3	105.4
Railway Levy	0.0	13.5	19.7	22.9	22.9	26.4	30.2	34.3	39.7
Grants	21.0	77.7	25.3	57.9	29.3	28.3	26.3	26.7	30.2
Project grants	15.1	67.4	20.1	51.3	23.2	21.3	26.3	26.7	30.2
Program grants	5.8	0.0	4.7	0.0	6.1	7.0	0.0	0.0	0.0
Expenditure and net lending	1,117.0	1,439.7	1,281.2	1,581.0	1,559.4	1,719.5	1,936.6	2,172.2	2,408.8
Recurrent expenditure	808.3	990.6	965.9	1,102.8	1,054.8	1,145.8	1,256.2	1,418.4	1,591.2
Transfer to counties	0.0	210.0	169.4	226.7	178.7	168.0	175.0	198.1	229.8
Interest payments	121.2	120.5	134.1	147.4	142.1	162.8	183.4	203.9	230.4
Domestic interest	110.2	109.4	119.2	122.9	122.9	138.0	153.4	168.0	186.8
Foreign interest due	11.1	11.1	14.9	24.5	19.2	24.8	30.0	35.9	43.6
Wages and benefits (civil service)	274.4	263.0	288.5	302.4	303.3	338.0	368.9	416.3	468.8
Civil service reform	0.0	0.0	0.0	1.0	1.0	0.0	0.0	0.0	0.0
Pensions, etc.	27.0	48.6	31.2	36.6	36.6	41.5	46.2	55.7	62.7
Other	294.5	263.8	252.8	298.0	302.4	331.9	363.6	410.7	450.7
of which: Education (free primary and secondary)	30.1	31.2	30.9	41.2	41.2	52.6	68.2	87.9	101.3
of which: Ministerial recurrent AIA	88.2	53.2	28.7	61.7	58.3	66.2	70.1	73.1	74.2
Defense and NSIS	91.2	84.7	89.9	90.7	90.7	103.5	119.0	133.6	148.8
Development and net lending	298.9	439.1	315.3	478.5	496.2	568.1	673.9	746.4	809.3
Domestically financed	201.8	196.1	214.6	289.2	336.0	371.0	441.4	519.7	562.8
of which: spending by counties	--	--	24.0	--	48.0	71.0	96.4	109.7	127.8
Foreign financed	94.7	240.6	98.4	187.2	157.3	194.1	229.2	222.9	242.1
Net lending	2.4	2.4	2.3	2.1	2.9	3.0	3.4	3.8	4.3
Balance (commitment basis, excluding grants)	-269.8	-411.2	-312.0	-400.5	-383.8	-384.1	-407.1	-413.7	-422.5
Balance (commitment basis, including grants)	-248.8	-333.5	-286.7	-342.6	-354.6	-355.7	-380.8	-387.0	-392.3
Adjustments to cash basis	16.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Balance (cash basis, including grants)	-232.4	-333.5	-286.7	-342.6	-354.6	-355.7	-380.8	-387.0	-392.3
Financing	232.4	333.5	286.7	342.6	354.6	355.7	380.8	387.0	392.3
Net foreign financing	62.7	226.3	83.7	149.8	198.7	173.2	201.2	199.0	251.5
Disbursements	86.2	314.9	165.3	177.3	227.5	208.1	240.2	244.8	305.2
Project loans	79.6	189.8	78.3	135.9	134.1	173.2	203.4	201.7	218.1
Program loans	0.0	0.0	0.0	5.4	5.4	0.0	0.0	0.0	0.0
Commercial borrowing ²	6.6	125.1	87.0	36.1	88.0	34.9	36.8	43.1	87.1
Other loans (incl. Standard Gauge Railway loan from China)	0.0	0.0	0.0	0.0	96.5	73.0	74.5	49.4	38.8
Repayments due	-24.0	-88.6	-82.8	-27.5	-29.3	-34.8	-39.0	-45.8	-53.7
Change in arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net domestic financing	169.8	106.7	203.0	190.8	155.9	182.5	179.6	188.0	140.8
Memorandum items:									
Nominal GDP	4,497.5	5,051.1	5,051.1	5,733.7	5,733.7	6,524.6	7,420.4	8,415.7	9,504.0
Primary balance incl. grants	(111.2)	(213.0)	(152.6)	(195.2)	(212.5)	(192.9)	(197.3)	(183.1)	(161.9)
Total gross public debt, gross ⁴	1856.5	2180.5	2130.8	2370.3	2624.3	2971.7	3371.6	3784.7	4213.3
of which: external debt	805.9	962.3	977.6	1153.3	1088.3	1261.6	1462.7	1661.8	1913.3
of which: domestic debt	1050.6	1097.0	1153.1	1217.0	1536.0	1710.1	1908.9	2122.9	2300.0
Total net public debt ⁵	1695.0	2028.6	1929.0	--	2336.3	2692.0	3072.8	3459.8	3852.2
Government deposits	161.4	--	61.0	--	288.0	279.7	298.8	324.9	361.1

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal year runs from July to June.

² Includes proceeds from (i) syndicated loans, (ii) US\$2.0bn Eurobond, and (iii) planned sovereign bonds.

³ General government includes central government, counties, and excludes central government units with individual budgets for which regularly published data are not

⁴ Total gross debt in 2013/14 includes the proceeds from US\$2.0bn Eurobond

⁵ Total net debt in 2013/14 includes US\$400mil. proceeds from US\$2.0bn Eurobond

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Table 2b. Kenya: Central Government Financial Operations 2012/13–2018/19

	2012/13	2013/14		2014/15		2015/16	2016/17	2017/18	2018/19
	Act.	Budget ²	Estim	Prov. Budget	Proj	Proj	Proj	Proj	Proj
<i>(in percent of GDP, unless otherwise indicated)</i>									
Revenues and grants	19.3	21.9	19.7	21.6	21.0	20.9	21.0	21.2	21.2
Revenue	18.8	20.4	19.2	20.6	20.5	20.5	20.6	20.9	20.9
Tax revenue	15.6	17.1	16.9	17.6	17.6	17.6	17.7	17.9	17.9
Income tax	8.3	9.1	8.9	9.5	9.5	9.5	9.6	9.7	9.7
Import duty (net)	1.3	1.4	1.3	1.4	1.4	1.4	1.4	1.4	1.4
Excise duty	1.9	2.2	2.0	2.1	2.1	2.0	2.0	2.1	2.1
Value-added tax	4.1	4.4	4.6	4.7	4.7	4.7	4.7	4.8	4.7
Nontax revenue	3.2	3.3	2.3	3.0	2.9	2.9	2.9	3.0	3.0
Investment income	0.3	0.4	0.2	0.3	0.3	0.3	0.3	0.3	0.3
Other	1.4	1.3	1.1	1.1	1.1	1.1	1.1	1.1	1.1
Ministerial and Departmental Fees (AIA)	1.1	1.3	0.6	1.2	1.2	1.1	1.1	1.1	1.1
Railway Levy	0.0	0.3	0.4	0.4	0.4	0.4	0.4	0.4	0.4
Grants	0.5	1.5	0.5	1.0	0.5	0.4	0.4	0.3	0.3
Project grants	0.3	1.3	0.4	0.9	0.4	0.3	0.4	0.3	0.3
Program grants	0.1	0.0	0.1	0.0	0.1	0.1	0.0	0.0	0.0
Expenditure and net lending	24.8	28.5	25.4	27.6	27.2	26.4	26.1	25.8	25.3
Recurrent expenditure	18.0	19.6	19.1	19.2	18.4	17.6	16.9	16.9	16.7
Transfer to counties	0.0	4.2	3.4	4.0	3.1	2.6	2.4	2.4	2.4
Interest payments	2.7	2.4	2.7	2.6	2.5	2.5	2.5	2.4	2.4
Domestic interest	2.4	2.2	2.4	2.1	2.1	2.1	2.1	2.0	2.0
Foreign interest due	0.2	0.2	0.3	0.4	0.3	0.4	0.4	0.4	0.5
Wages and benefits (civil service)	6.1	5.2	5.7	5.3	5.3	5.2	5.0	4.9	4.9
Civil service reform	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Pensions, etc.	0.6	1.0	0.6	0.6	0.6	0.6	0.6	0.7	0.7
Other	6.5	5.2	5.0	5.2	5.3	5.1	4.9	4.9	4.7
of which: Education (free primary and secondary)	0.7	0.6	0.6	0.7	0.7	0.8	0.9	1.0	1.1
of which: Ministerial recurrent AIA	2.0	1.1	0.6	1.1	1.0	1.0	0.9	0.9	0.8
Defense and NSIS	2.0	1.7	1.8	1.6	1.6	1.6	1.6	1.6	1.6
Development and net lending	6.6	8.7	6.2	8.3	8.7	8.7	9.1	8.9	8.5
Domestically financed	4.5	3.9	4.2	5.0	5.9	5.7	5.9	6.2	5.9
of which: spending by counties	--	--	0.5	--	0.8	1.1	1.3	1.3	1.3
Foreign financed	2.1	4.8	1.9	3.3	2.7	3.0	3.1	2.6	2.5
Net lending	0.1	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0
Balance (commitment basis, excluding grants)	-6.0	-8.1	-6.2	-7.0	-6.7	-5.9	-5.5	-4.9	-4.4
Balance (commitment basis, including grants)	-5.5	-6.6	-5.7	-6.0	-6.2	-5.5	-5.1	-4.6	-4.1
Adjustments to cash basis	0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Balance (cash basis, including grants)	-5.2	-6.6	-5.7	-6.0	-6.2	-5.5	-5.1	-4.6	-4.1
Financing	5.2	6.6	5.7	6.0	6.2	5.5	5.1	4.6	4.1
Net foreign financing	1.4	4.5	1.7	2.6	3.5	2.7	2.7	2.4	2.6
Disbursements	1.9	6.2	3.3	3.1	4.0	3.2	3.2	2.9	3.2
Project loans	1.8	3.8	1.6	2.4	2.3	2.7	2.7	2.4	2.3
Program loans	0.0	0.0	0.0	0.1	0.1	0.0	0.0	0.0	0.0
Commercial borrowing ³	0.1	2.5	1.7	0.6	1.5	0.5	0.5	0.5	0.9
Other loans (incl. Standard Gauge Railway loan from China)	0.0	0.0	0.0	0.0	1.7	1.1	1.0	0.6	0.4
Repayments due	-0.5	-1.8	-1.6	-0.5	-0.5	-0.5	-0.5	-0.5	-0.6
Change in arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net domestic financing	3.8	2.1	4.0	3.3	2.7	2.8	2.4	2.2	1.5
Memorandum items:									
Primary balance incl. grants (Central government)	-2.5	-4.2	-3.0	-3.4	-3.7	-3.0	-2.7	-2.2	-1.7
Total gross public debt, gross ⁵	41.3	43.2	42.2	41.3	45.8	45.5	45.4	45.0	44.3
of which: external debt	17.9	19.1	19.4	20.1	19.0	19.3	19.7	19.7	20.1
of which: domestic debt	23.4	21.7	22.8	21.2	26.8	26.2	25.7	25.2	24.2
Total net public debt ⁶	37.7	40.2	38.2	--	40.7	41.3	41.4	41.1	40.5
Government deposits (in months of domestically financed expenditures)	1.9	--	0.6	--	2.5	2.2	2.1	2.0	2.0

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Fiscal year runs from July to June.

² For comparability, the staff estimates of rebased GDP are used in computing figures for both the budget and the projections.

³ Includes proceeds from (i) syndicated loans, (ii) US\$2.0bn Eurobond, and (iii) planned sovereign bonds.

⁴ General government includes central government, counties, and excludes central government units with individual budgets for which regularly published data are not available.

⁵ Total gross debt in 2013/14 includes the proceeds from US\$2.0bn Eurobond

⁶ Total net debt in 2013/14 includes US\$400mil. proceeds from US\$2.0bn Eurobond.

Table 2c. Kenya: General Government 2012/13 – 2018/19

	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	
	Act.	Budget	Estim	Proj	Proj	Proj	Proj	
(in billions of Kenyan Shillings, unless otherwise indicated)								
Revenues and grants	906.0	1,384.0	1,211.9	1,459.9	1,636.8	1,866.2	2,140.9	2,427.5
Central Government revenues and grants	868.2	1,106.2	994.4	1,204.8	1,363.8	1,555.8	1,785.2	2,016.4
Tax revenue	701.2	862.9	851.8	1,006.5	1,145.9	1,313.7	1,508.7	1,703.2
Nontax revenue	146.1	165.6	117.4	169.0	189.6	215.8	249.9	283.1
Grants	21.0	77.7	25.3	29.3	28.3	26.3	26.7	30.2
County revenues and grants	37.8	277.8	217.5	255.1	273.0	310.4	355.7	411.1
Local revenue (Property tax, Single Business Permits, etc....) ²	19.7	67.8	24.1	28.5	34.0	39.0	47.9	53.5
Grants from central government	18.1	210.0	193.4	226.7	239.0	271.4	307.8	357.6
Expenditure and net lending ³	1,154.8	1,716.9	1,450.6	1,785.9	1,987.1	2,258.0	2,543.8	2,850.9
Recurrent expenditure	843.1	1,165.0	1,135.3	1,281.4	1,413.3	1,577.7	1,790.0	2,033.3
Transfer to counties	18.1	210.0	193.4	226.7	239.0	271.4	307.8	357.6
Wages and salaries	294.3	373.9	382.3	400.6	442.6	481.2	538.7	600.0
of which: counties	19.9	110.9	93.8	97.3	104.6	112.3	122.4	131.2
Other	530.7	581.1	559.6	654.1	731.8	825.1	943.5	1075.7
of which: counties	14.9	53.5	51.6	81.3	92.0	112.8	139.5	183.1
Development and net lending	301.9	541.9	315.3	496.2	568.1	673.9	746.4	809.3
Domestically financed	201.8	196.1	214.6	336.0	371.0	441.4	519.7	562.8
of which: counties	3.0	102.8	24.0	48.0	71.0	96.4	109.7	127.8
Foreign financed	94.7	240.6	98.4	157.3	194.1	229.2	222.9	242.1
Net lending	2.4	2.4	2.3	2.9	3.0	3.4	3.8	4.3
Balance (cash basis, including grants)	-232.4	-332.9	-238.6	-326.0	-350.3	-391.9	-402.9	-423.4
Memorandum items:								
Nominal GDP	4,497.5	5,051.1	5,051.1	5,733.7	6,524.6	7,420.4	8,415.7	9,504.0
Central government balance (cash basis, including grants)	-232.4	-333.5	-286.7	-354.6	-355.7	-380.8	-387.0	-392.3
County government deposits	--	--	48.1	76.6	82.1	71.0	55.1	24.0
in months of county expenditures	--	--	3.4	4.1	3.7	2.6	1.8	0.7

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Preliminary IMF staff estimates. General government includes central government and county government, and excludes extra budgetary funds (EBFs) and central government units with individual budgets for which regularly published data are not available.

² Actual local revenues of counties for 2012/13 are obtained using a Local Government database that was provided by department of devolution and planning.

³ County expenditures in 2012/13 are imputed based on the assumption of a balanced budget.

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Table 2d. Kenya: General Government 2012/13 – 2018/19

	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19
	Act.	Budget	Estim	Proj	Proj	Proj	Proj
<i>(in percent of GDP, unless otherwise indicated)</i>							
Revenues and grants	20.1	27.4	24.0	25.5	25.1	25.1	25.4
Central Government revenues and grants	19.3	21.9	19.7	21.0	20.9	21.0	21.2
Tax revenue	15.6	17.1	16.9	17.6	17.6	17.7	17.9
Nontax revenue	3.2	3.3	2.3	2.9	2.9	2.9	3.0
Grants	0.5	1.5	0.5	0.5	0.4	0.4	0.3
County revenues and grants	0.8	5.5	4.3	4.4	4.2	4.2	4.2
Local revenue (Property tax, Single Business Permits, etc...) ²	0.4	1.3	0.5	0.5	0.5	0.5	0.6
Grants from central government	0.4	4.2	3.8	4.0	3.7	3.7	3.8
Expenditure and net lending ³	25.7	34.0	28.7	31.1	30.5	30.4	30.2
Recurrent expenditure	18.7	23.1	22.5	22.3	21.7	21.3	21.3
Transfer to counties	0.4	4.2	3.8	4.0	3.7	3.7	3.8
Wages and salaries	6.5	7.4	7.6	7.0	6.8	6.5	6.4
of which: counties	0.4	2.2	1.9	1.7	1.6	1.5	1.4
Other	11.8	11.5	11.1	11.4	11.2	11.1	11.2
of which: counties	0.3	1.1	1.0	1.4	1.4	1.5	1.9
Development and net lending	6.7	10.7	6.2	8.7	8.7	9.1	8.9
Domestically financed	4.5	3.9	4.2	5.9	5.7	5.9	6.2
of which: counties	0.1	2.0	0.5	0.8	1.1	1.3	1.3
Foreign financed	2.1	4.8	1.9	2.7	3.0	3.1	2.6
Net lending	0.1	0.0	0.0	0.1	0.0	0.0	0.0
Balance (cash basis, including grants)	(5.2)	(6.6)	(4.7)	(5.7)	(5.4)	(5.3)	(4.8)
<i>Memorandum items:</i>							
Central government balance (cash basis, including grants)	(5.2)	(6.6)	(5.7)	(6.2)	(5.5)	(5.1)	(4.6)
County government deposits	--	--	48.1	76.6	82.1	71.0	55.1
in months of county expenditures	--	--	3.4	4.1	3.7	2.6	1.8

Sources: Kenyan authorities and IMF staff estimates and projections.

¹ Preliminary IMF staff estimates. General government includes central government and county government, and excludes extra budgetary funds (EBFs) and central government units with individual budgets for which regularly published data are not available.

² Actual local revenues of counties for 2012/13 are obtained using a Local Government database that was provided by department of devolution and planning.

³ County expenditures in 2012/13 are imputed based on the assumption of a balanced budget.

Table 3. Kenya: Monetary Survey June 2013 – June 2015

	Jun-13	Dec-13	Mar-14	Jun-14	Sep-14	Dec-14	Mar-15	Jun-15
				Prel.		Projections		
(In billions of Kenyan shillings, unless otherwise indicated)								
Central Bank of Kenya (CBK)								
Net foreign assets	402.1	432.0	442.1	429.7	461.0	492.3	541.2	590.1
(in millions of US dollars) ^{1,2,3}	4,676	5,005	5,114	4,905	5,263	5,620	6,178	6,736
Net domestic assets	-114.7	-111.2	-130.1	-96.3	-114.2	-112.0	-166.5	-190.6
Net domestic credit	-62.5	-1.9	-3.9	-24.5	-42.4	-40.1	-94.7	-118.8
Government (net)	-20.9	-11.9	12.3	-24.5	-60.0	-40.0	-70.0	-80.0
Commercial banks (net)	-41.7	10.0	-16.2	0.0	15.1	-2.6	-27.2	-41.3
Other items (net)	-52.2	-109.3	-126.2	-71.8	-71.8	-71.8	-71.8	-71.8
Reserve money	287.4	320.8	312.0	333.3	346.8	380.4	374.7	399.5
Currency outside banks	148.0	163.2	156.8	163.3	179.9	185.8	183.1	201.4
Bank reserves	139.5	157.6	155.2	170.0	166.9	194.6	191.5	198.1
Banks								
Net foreign assets	-40.9	-44.7	-71.5	-72.7	-74.5	-76.2	-78.0	-78.8
(in millions of US dollars)	-475.7	-518.1	-827.5	-830.0	-850.0	-870.0	-890.0	-900.0
Reserves	139.5	157.6	155.2	181.0	166.9	194.6	191.5	198.1
Credit to CBK	41.7	-10.0	16.2	0.0	-15.1	2.6	27.2	41.3
Net domestic assets	1,512.8	1,699.2	1,774.9	1,903.0	2,008.6	2,041.5	2,112.7	2,255.1
Net domestic credit	1,800.0	1,986.6	2,081.8	2,209.9	2,315.5	2,348.4	2,419.6	2,562.0
Government (net)	400.4	409.0	437.5	451.1	470.6	509.6	529.0	548.5
Other public sector	36.2	39.6	33.7	43.6	45.0	50.0	50.0	50.0
Private sector	1,363.4	1,537.9	1,610.5	1,715.2	1,799.9	1,788.8	1,840.5	1,963.5
Other items (net)	-287.2	-287.4	-306.9	-306.9	-306.9	-306.9	-306.9	-306.9
Total deposits	1,653.0	1,802.1	1,874.8	2,011.3	2,085.9	2,162.5	2,253.5	2,415.6
Monetary survey								
Net foreign assets	361.2	387.3	370.5	356.9	386.5	416.1	463.2	511.2
(in millions of US dollars)	4,199.9	4,487.2	4,286.7	4,074.7	4,412.5	4,750.4	5,288.2	5,836.1
Net domestic assets	1,459.7	1,608.9	1,689.8	1,853.4	1,905.8	1,960.4	2,013.2	2,143.4
Net domestic credit	1,783.0	1,978.5	2,096.6	2,187.9	2,258.0	2,310.9	2,352.1	2,484.5
Government (net)	379.5	397.2	449.9	426.6	410.6	469.6	459.0	468.5
Other public sector	36.2	39.6	33.7	43.6	45.0	50.0	50.0	50.0
Private	1,367.2	1,541.7	1,613.0	1,717.7	1,802.4	1,791.3	1,843.0	1,966.0
Other items (net)	-323.3	-369.6	-406.8	-334.5	-352.2	-350.5	-338.8	-341.1
M1	752.8	827.1	868.1	931.3	965.8	1,001.3	1,043.4	1,118.5
Money and quasi-money (M2)	1,547.9	1,671.6	1,758.8	1,886.9	1,956.8	2,028.7	2,114.0	2,266.1
M2 plus resident foreign currency deposits (M3)	1,820.9	1,996.2	2,060.3	2,210.4	2,292.3	2,376.5	2,476.5	2,654.6
M3 plus nonbank holdings of government debt (L)	2,278.3	2,523.2	2,604.2	2,592.5	2,688.7	2,787.5	2,904.7	3,113.6
Memorandum items (Annual percent change unless otherwise specified)								
M1	20.7	16.4	20.4	23.7	20.4	21.1	20.2	20.1
M2	15.6	13.8	19.0	21.9	21.0	21.4	20.2	20.1
M3	14.2	15.6	17.3	21.4	21.6	19.1	20.2	20.1
Deposits	14.0	15.1	17.9	21.7	21.8	20.0	20.2	20.1
Reserve money	11.7	9.2	8.5	16.0	19.5	18.6	20.1	19.9
Currency outside banks	16.6	10.4	4.5	10.4	23.0	13.8	16.8	23.4
Net domestic credit	14.9	16.2	19.7	22.7	20.4	16.8	12.2	13.6
Government (net)	27.4	7.7	15.1	12.4	7.3	18.2	2.0	9.8
Private	12.7	20.1	22.6	25.6	24.1	16.2	14.3	14.5
Net domestic assets of the banking sector	14.7	14.8	17.7	27.0	26.0	21.8	19.1	15.6
NDA growth (as percent of the base period M3)	9.5	9.7	11.6	17.3	16.3	13.9	12.4	11.2
Multiplier (Average M3/RM)	6.2	6.3	6.4	6.5	6.5	6.5	6.5	6.5
Velocity (GDP/M2)	3.0	3.0	3.0	2.9	2.9	2.8	2.8	2.7

Sources: Kenyan authorities and IMF staff estimates and projections

¹ For historical data, at implicit CBK exchange rate

² For historical data, at implicit CBK exchange rate

³ Starting in June 2014, it includes government deposits abroad on account of the Eurobond issuance, as an asset and as a liability.

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Table 4a. Kenya: Balance of Payments 2012/13–2018/19

(in millions of US dollars, unless otherwise indicated)

	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19
	Act	Est	Projections				
Current account	-4,240.3	-4,504.3	-5,371.8	-5,718.1	-5,672.7	-5,786.4	-6,158.7
Exports, f.o.b.	6,018.2	5,823.3	6,039.3	6,586.9	7,270.0	8,075.1	8,985.8
Coffee	230.1	216.4	248.5	265.1	292.5	323.6	351.5
Tea	1,207.1	1,124.7	1,069.4	1,155.2	1,286.1	1,453.7	1,641.5
Horticulture	717.8	770.3	825.2	882.3	963.1	1,070.5	1,190.7
Imports, f.o.b.	-15,568.0	-16,308.2	-18,168.3	-19,829.4	-21,391.2	-23,244.9	-25,487.8
Oil	-3,776.5	-3,899.4	-4,338.0	-4,577.2	-4,807.7	-5,172.8	-5,666.0
Other private	-11,610.6	-12,293.3	-13,707.9	-15,122.8	-16,441.3	-17,915.5	-19,649.5
of which: Chemicals	-2,076.6	-2,338.2	-2,624.0	-2,822.4	-3,063.2	-3,337.7	-3,635.7
Manufactured goods	-2,349.0	-2,677.9	-3,103.2	-3,489.4	-3,871.6	-4,313.7	-4,793.1
Power generation-related machinery & aircraft	-809.4	-830.2	-990.4	-1,035.2	-976.5	-843.5	-834.9
Other capital imports 1/	-3,530.3	-3,803.2	-4,468.5	-5,008.6	-5,403.0	-5,977.1	-6,599.6
Other	-2,845.4	-2,643.7	-2,521.8	-2,767.2	-3,127.0	-3,443.5	-3,786.3
of which: maize & sugar	-232.2	-219.5	-246.3	-287.4	-340.7	-387.5	-429.8
Balance on goods	-9,549.8	-10,484.9	-12,129.1	-13,242.5	-14,121.3	-15,169.8	-16,502.0
Balance on services	2,563.1	2,823.4	3,090.7	3,391.1	3,749.0	4,172.6	4,653.8
Credit	4,881.7	5,105.9	5,565.8	6,183.7	6,923.7	7,732.6	8,574.1
of which: transportation	2,168.7	2,276.4	2,486.4	2,808.7	3,204.1	3,680.8	4,197.4
of which: foreign travel credit	907.7	933.1	1,038.4	1,150.6	1,264.9	1,380.0	1,505.6
Balance on goods and services	-6,986.7	-7,661.5	-9,038.3	-9,851.4	-10,372.3	-10,997.2	-11,848.1
Income (net)	-226.7	-364.9	-412.5	-284.8	-100.0	-26.5	-6.1
Current transfers (net)	2,973.1	3,522.1	4,079.0	4,418.1	4,799.6	5,237.4	5,695.5
Private (net)	2,765.5	3,391.7	4,021.6	4,386.4	4,805.4	5,262.5	5,720.5
of which: remittances	2,088.7	2,409.8	2,651.6	2,905.1	3,202.2	3,527.4	3,842.8
Capital and financial account	4,838.2	5,166.6	6,654.3	6,886.6	6,752.9	7,086.8	7,634.4
Capital account (incl. capital transfers)	166.5	175.6	255.0	256.2	274.7	294.9	311.9
Financial account	4,671.7	4,991.0	6,399.4	6,630.4	6,478.2	6,791.9	7,322.5
Net FDI	375.7	802.5	1,242.8	1,399.1	1,505.7	1,706.0	1,884.6
In Kenya	386.5	861.1	1,371.3	1,566.2	1,724.3	1,927.4	2,087.0
Abroad	-10.8	-58.6	-128.5	-167.1	-218.6	-221.4	-202.4
Net portfolio investment	105.8	2,101.9	160.2	372.4	379.0	441.2	1,238.3
Liabilities	145.3	2,147.6	208.8	418.8	426.8	487.3	1,284.2
Assets	-39.5	-45.7	-48.6	-46.5	-47.8	-46.1	-45.8
Net other investment	3,453.7	2,610.8	3,971.7	4,861.3	4,589.6	4,641.5	4,548.5
Official, medium and long-term	725.4	-48.7	1,264.4	1,485.0	1,779.3	1,899.4	1,763.5
Inflows	1,005.5	905.1	1,595.3	1,833.1	2,150.8	2,294.0	2,157.3
Outflows	-280.1	-953.8	-330.9	-348.1	-371.5	-394.6	-393.8
Private, medium and long-term	957.9	1,506.1	649.4	1,065.8	1,002.6	899.8	914.5
Energy financing	86.9	108.9	117.1	126.0	137.8	151.7	167.0
Kenya Airways	99.0	195.0	297.2	272.7	129.2	-68.1	-143.8
Other	771.9	1,202.2	235.1	667.1	735.5	816.3	891.3
Short-term capital	1,770.4	1,153.4	2,057.9	2,310.5	1,807.7	1,842.3	1,870.5
of which: commercial banks	372.3	354.3	61.7	58.9	-19.1	0.0	0.0
Errors and omissions	732.3	471.7	0.0	0.0	0.0	0.0	0.0
Overall balance	872.6	937.0	1,282.5	1,168.5	1,080.3	1,300.4	1,475.7
Financing items	-872.6	-937.0	-1,282.5	-1,168.5	-1,080.3	-1,300.4	-1,475.7
Reserve assets (gross)	-1,081.4	-1,000.7	-1,211.7	-1,073.6	-939.6	-1,142.1	-1,075.7
Use of Fund credit and loans to the Fund (net)	203.1	49.1	-76.4	-94.9	-140.7	-158.3	-151.0
Disbursements	225.3	111.4	0.0	0.0	0.0	0.0	0.0
Repayments	-22.1	-62.3	-76.4	-94.9	-140.7	-158.3	-151.0
Memorandum items:							
Gross official reserves (end of period)	6,222.0	7,475.0	8,275.0	9,325.0	10,325.0	11,209.7	12,484.7
(in months of following year's imports of goods and services)	4.0	4.3	4.4	4.6	4.6	4.6	4.6
Import volume growth, goods and services (percent)	6.1	2.4	8.9	11.6	8.2	9.1	8.8
Export volume growth, goods and services (percent)	5.6	4.2	9.7	11.3	10.8	11.0	10.6
Change in the terms of trade (goods and services, percent)	-4.2	-6.2	-1.3	1.5	0.6	1.2	0.7

Sources: Kenyan authorities; and IMF staff estimates and projections.

1/ Includes oil exploration-related machinery and equipment.

Table 4b. Kenya: Balance of Payments (percent of GDP) 2011/12–2018/19

(in percent of GDP, financial years)

	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19
	Act	Est	Projections				
Current account	-8.1	-7.8	-8.4	-8.0	-7.1	-6.5	-6.3
Exports, f.o.b.	11.5	10.0	9.4	9.2	9.1	9.1	9.2
Coffee	0.4	0.4	0.4	0.4	0.4	0.4	0.4
Tea	2.3	1.9	1.7	1.6	1.6	1.6	1.7
Horticulture	1.4	1.3	1.3	1.2	1.2	1.2	1.2
Imports, f.o.b.	-29.7	-28.1	-28.3	-27.7	-26.8	-26.2	-26.0
Oil	-7.2	-6.7	-6.8	-6.4	-6.0	-5.8	-5.8
Other private	-22.2	-21.2	-21.4	-21.1	-20.6	-20.2	-20.0
of which: Chemicals	-4.0	-4.0	-4.1	-3.9	-3.8	-3.8	-3.7
Manufactured goods	-4.5	-4.6	-4.8	-4.9	-4.9	-4.9	-4.9
Power generation-related machinery & aircraft	-1.5	-1.4	-1.5	-1.4	-1.2	-1.0	-0.9
Other capital imports 1/	-6.7	-6.6	-7.0	-7.0	-6.8	-6.7	-6.7
Other	-5.4	-4.6	-3.9	-3.9	-3.9	-3.9	-3.9
of which: maize & sugar	-0.4	-0.4	-0.4	-0.4	-0.4	-0.4	-0.4
Balance on goods	-18.2	-18.1	-18.9	-18.5	-17.7	-17.1	-16.8
Balance on services	4.9	4.9	4.8	4.7	4.7	4.7	4.7
of which: foreign travel credit	1.7	1.6	1.6	1.6	1.6	1.6	1.5
Balance on goods and services	-13.3	-13.2	-14.1	-13.8	-13.0	-12.4	-12.1
Income (net)	-0.4	-0.6	-0.6	-0.4	-0.1	0.0	0.0
Current transfers (net)	5.7	6.1	6.4	6.2	6.0	5.9	5.8
Private (net)	5.3	5.8	6.3	6.1	6.0	5.9	5.8
of which: remittances	4.0	4.2	4.1	4.1	4.0	4.0	3.9
Capital and financial account	9.2	8.9	10.4	9.6	8.5	8.0	7.8
Capital account (incl. capital transfers)	0.3	0.3	0.4	0.4	0.3	0.3	0.3
Financial account	8.9	8.6	10.0	9.3	8.1	7.7	7.5
Net FDI	0.7	1.4	1.9	2.0	1.9	1.9	1.9
In Kenya	0.7	1.5	2.1	2.2	2.2	2.2	2.1
Abroad	0.0	-0.1	-0.2	-0.2	-0.3	-0.2	-0.2
Net portfolio investment	0.2	3.6	0.2	0.5	0.5	0.5	1.3
Liabilities	0.3	3.7	0.3	0.6	0.5	0.6	1.3
Assets	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	0.0
Net other investment	6.6	4.5	6.2	6.8	5.8	5.2	4.6
Official, medium and long-term	1.4	-0.1	2.0	2.1	2.2	2.1	1.8
Inflows	1.9	1.6	2.5	2.6	2.7	2.6	2.2
Outflows	-0.5	-1.6	-0.5	-0.5	-0.5	-0.4	-0.4
Private, medium and long-term	1.8	2.6	1.0	1.5	1.3	1.0	0.9
Energy financing	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Kenya Airways	0.2	0.3	0.5	0.4	0.2	-0.1	-0.1
Other	1.5	2.1	0.4	0.9	0.9	0.9	0.9
Short-term capital	3.4	2.0	3.2	3.2	2.3	2.1	1.9
of which: commercial banks	0.7	0.6	0.1	0.1	0.0	0.0	0.0
Errors and omissions	1.4	0.8	0.0	0.0	0.0	0.0	0.0
Overall balance	1.7	1.6	2.0	1.6	1.4	1.5	1.5
Financing items	-1.7	-1.6	-2.0	-1.6	-1.4	-1.5	-1.5
Reserve assets (gross)	-2.1	-1.7	-1.9	-1.5	-1.2	-1.3	-1.1
Use of Fund credit and loans to the Fund (net)	0.4	0.1	-0.1	-0.1	-0.2	-0.2	-0.2
Disbursements	0.4	0.2	0.0	0.0	0.0	0.0	0.0
Repayments	0.0	-0.1	-0.1	-0.1	-0.2	-0.2	-0.2
Memorandum items:							
Gross official reserves (end of period)	11.9	12.9	12.9	13.0	13.0	12.7	12.7
Current account balance excluding official transfers and capital imports	-0.2	0.0	0.0	0.4	0.9	1.2	1.3
Exports of goods and nonfactor services	20.8	18.8	18.1	17.9	17.8	17.8	17.9
Imports of goods and nonfactor services	-34.1	-32.0	-32.2	-31.6	-30.8	-30.3	-30.0

Sources: Kenyan authorities; and staff estimates and projections.

1/ Includes oil exploration-related machinery and equipment

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Table 5. Kenya: Financial Soundness Indicators, 2009-2013

	2009	2010	2011	2012	2013
Capital Adequacy					
Regulatory Capital to Risk-Weighted Assets	19.6	20.8	19.4	21.9	23.2
Regulatory Tier 1 Capital to Risk-Weighted Assets	17.4	18.7	17.3	18.9	19.4
Core Capital to Total Deposits	14.5	15.7	15.5	16.3	17.1
Total Capital to Total Assets	12.7	13.2	13.2	14.2	14.9
Asset Quality					
Non-performing Loans to Total Gross Loans	7.9	6.3	4.4	4.5	5.0
Non-performing Loans Net of Provisions to Capital	11.8	6.4	3.5	3.5	5.8
Bank Provisions to Non-performing Loans	66.3	75.3	82.2	80.9	70.7
Earning Assets to Total Assets	87.9	88.8	87.8	87.4	88.9
Earning and profitability					
Return on Assets	2.3	3.7	3.3	3.8	3.6
Return on Equity	20.1	30.7	32.2	34.2	28.9
Interest Margin to gross income	35.6	34.7	38.6	32.7	37.2
Non interest expense to gross income	50.8	48.2	44.6	37.8	41.7
Liquidity					
Liquid Assets to Total Assets	36.0	38.4	33.3	35.2	34.3
Liquid Assets to Short Term Liabilities	39.8	44.5	37.0	41.9	38.6
Liquid Assets to Total Deposits	46.3	51.0	43.8	46.8	47.0
Total Loans to Total Deposits	72.4	72.5	77.5	76.9	80.4
Sensitivity to Market Risk					
Net Open Position in Foreign Exchange to Capital	4.9	4.3	3.3	2.6	2.2
Interest Bearing Assets to Interest Bearing Liabilities	113	117	115	116	121
Foreign-Currency-Denominated Assets to Total assets	8.1	10.6	11.8	13.2	13.7
Foreign-Currency-Denominated Liabilities to Total Liabilities	18.1	17.1	21.5	20.9	22.9
Spread Between Lending and Deposit Rates	7.7	9.3	8.4	10.3	8.9
Total Expenses to Gross Income	71.4	64.2	65.2	69.5	65.2

Sources: Central Bank of Kenya

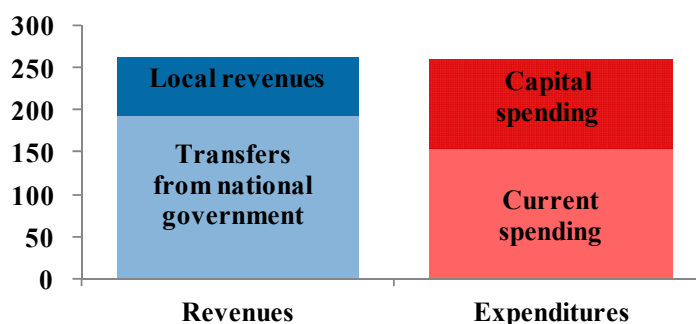
Annex I. Devolution: Recent Developments, Transitional Challenges, and the Medium-Term Outlook

The first year of devolved government has been successful in implementing the basic institutional framework, in a context of improved transparency. Common teething problems have their roots in capacity constraints of the counties, transitional issues in establishing adequate coordination between the two layers of government, and weak accountability at the county level. However, other challenges that are specific to devolution in Kenya have also emerged and could—if left unaddressed —negatively affect fiscal sustainability in the medium-term, including (i) devolution related wage bill issues, (ii) resolution of debt inherited from previous local authorities, (iii) unfavorable composition of spending and (iii) unclear guidelines on potential county borrowing and contingent liabilities. The staffing of the Intergovernmental Fiscal Relations Department is crucial in helping to address the observed challenges, especially through assisting in capacity building at the county level.

A. BACKGROUND AND RECENT DEVELOPMENTS

1. **Large transfers to counties show a political will to introduce devolution quickly.** County budgets for FY 2013/14 amount to KSh261bn, or 5.2 percent of Kenya's GDP (Figure 1).¹ Budgets are financed by equitable share transfers from the national government (74 percent of total county budgets), conditional grants (1 percent of total), and own-source revenue collections (25 percent of total). In aggregate, counties have allocated around 63 percent of their budgets to current spending, and the remaining to development spending.

Figure 1: County-level Budgets, FY 2013/14
In billions of Kenyan Shillings



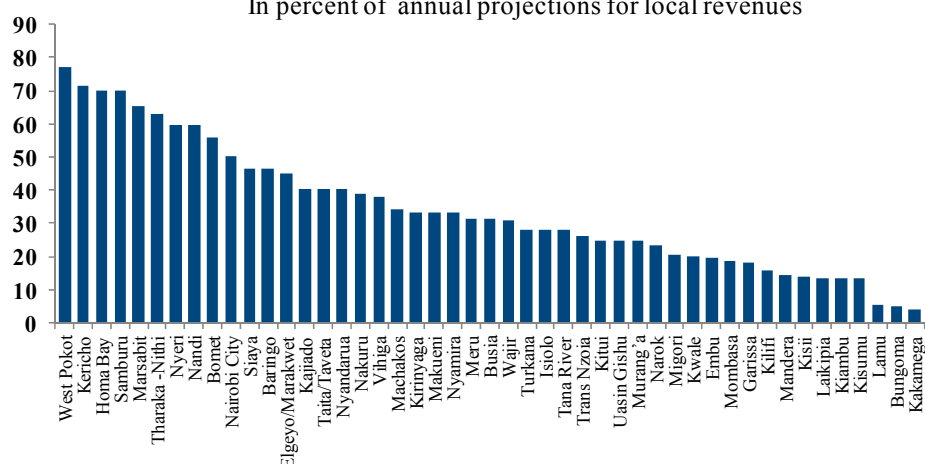
Sources: Kenyan authorities and IMF staff estimates.

¹ Counties are entitled to receive a minimum of 15 percent of nationally raised revenues. The current allocation significantly exceeds this number due to a fast-track approach to devolution. In the medium term, improvement of own source revenue collection by counties should, in principle, reduce dependency on intergovernmental transfers.

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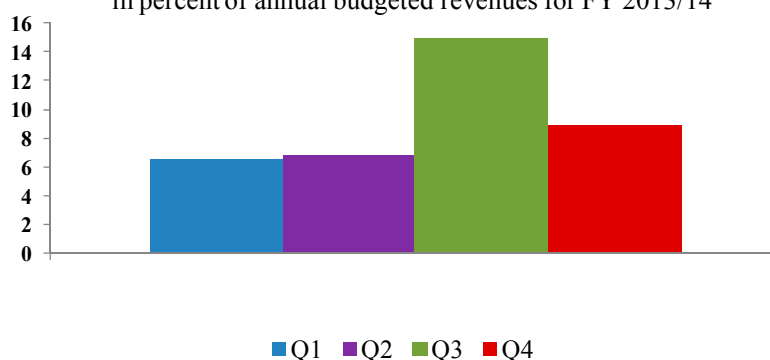
2. **Own-source revenue collection was initially low but improved slightly during the third quarter of FY 2013/14, relative to annual budgeted amounts (Figures 2 and 3).** In aggregate, counties projected that local revenue collections will reach KSh68bn during the current fiscal year. However, some counties may have initially inflated their local revenue projections to achieve balanced budgets.² Actual revenue collections amounted to only around KSh19.1bn during the first three quarters of the fiscal year. However, there has been a noticeable improvement in revenue collections during the third quarter, owing to greater revenues from single business permits. It is expected that revenues will reach around KSh24bn at the end of the current fiscal year, registering an increase from the KSh19.7bn that was collected by the defunct local authorities in 2012/13.

Figure 2: Actual local revenues, first half of FY 2013/14
In percent of annual projections for local revenues



Sources: Kenyan authorities and IMF staff estimates.

Figure 3: Quarterly local revenue by counties
in percent of annual budgeted revenues for FY 2013/14

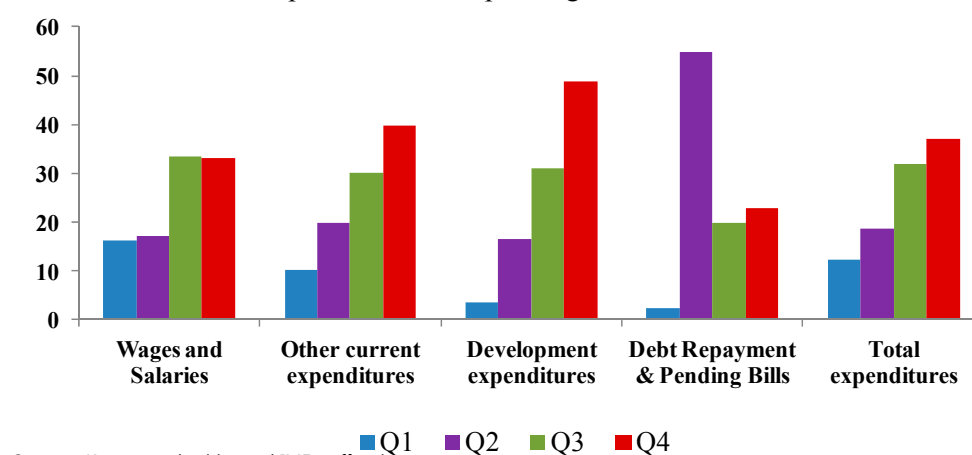


Sources: Kenyan authorities and IMF staff estimates

² This is based on information from the Local Government database that was provided by the Department of Devolution and Planning.

3. **During the first nine months of FY 2013/14, counties experienced an improvement in their absorption capacity (Figure 4).** However, absorption remains low: counties received KSh133.3bn during the first three quarters of the fiscal year (KSh110.1bn in national transfers and the remaining in local revenue collections), but spent only KSh106.6bn, which include wage spending on devolved staff, initially paid on their behalf by the central government.³ Total spending is expected to rise to around KSh169bn by the end of the fiscal year, on account of higher current and development spending (Figure 4). Based on projected transfers and local revenue collections for the full fiscal year, counties would still accumulate around KSh50bn in bank deposits because of under-spending (about 1 percent of GDP).

Figure 4: Actual quarterly spending by counties
in percent of total spending for FY 2013/14



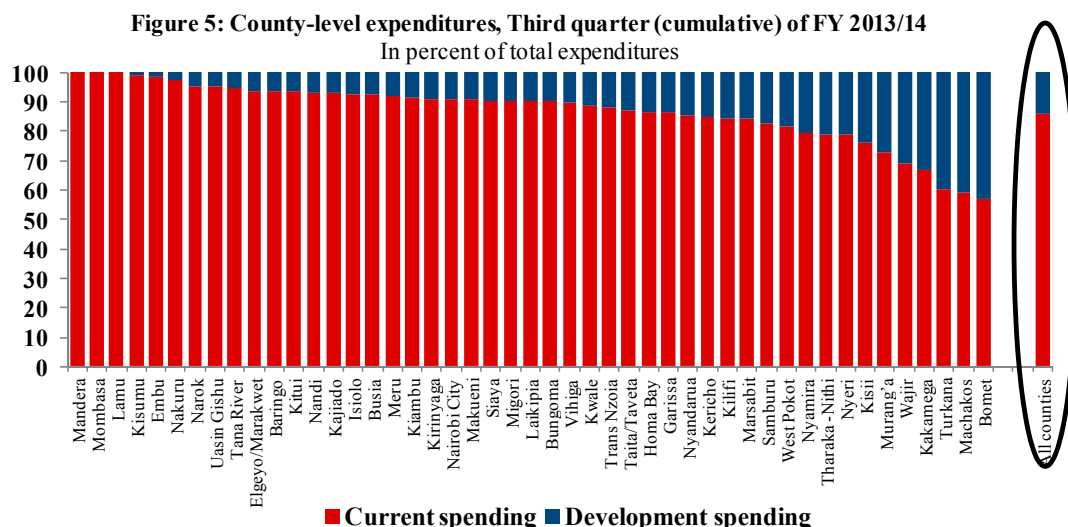
4. **Development spending is far below the envisaged goal of 30 percent of total expenditure.** Lagging development spending is explained by still inadequate procurement systems and some initial delays in disbursements by the central government. By contrast, during the first three quarters of FY 2013/14, current spending amounted to 86.1 percent of total county spending (Figure 5). However, development spending absorption rate has been gradually improving and is expected to continue improving over time, with the exception of a few large counties facing structural high costs inherited from the previous local authorities.⁴

5. **The high current spending by counties consists largely of wages and salaries.** Counties spent more than half of their resources during the first three quarters of 2013/14 on wages, including wages paid to devolved staff on their behalf by the central government. The high wage bill reflects a large number of staff inherited from previous local governments, new recruitment by counties, wage increases, and high salaries of county assembly support staff.

³ An initial delay in the enactment of the County Allocation of Revenue Act (2013) resulted in a delay in the disbursement of transfers to the counties. Counties are now receiving regular monthly cash disbursements.

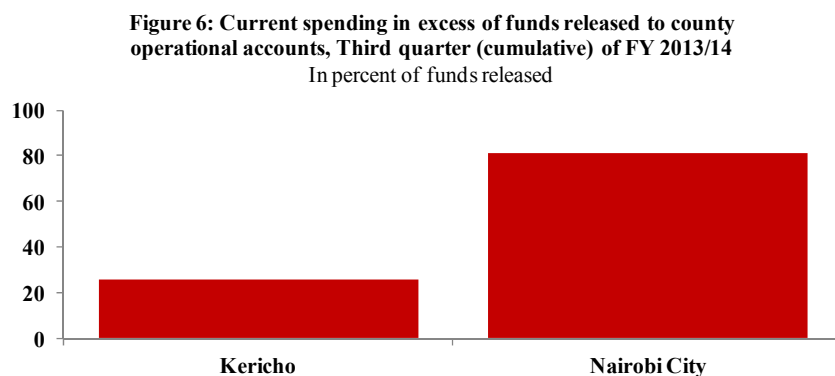
⁴ Nairobi, Mombasa, Kisumu, and Nakuru. .

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Sources: Kenyan authorities and IMF staff estimates.

6. **Some counties may have spent funds from own-sources revenue without following legal provisions.** In particular, some counties recorded expenditures that were higher than actual funds released to their accounts, most notably to finance current activities (Figure 6). This implies that these counties may have spent resources from local revenues without seeking the required authorization from the Office of the Controller of the Budget.⁵



Sources: Kenyan authorities and IMF staff estimates.

7. **Some counties dispute the assumption of existing liabilities from former local authorities.** However, the attorney-general has issued a legal opinion that county governments are the successors of former local authorities and bear the obligations of the defunct local authorities. County debt repayments of inherited debt from previous local authorities during the first three quarters of 2013/14 amounted to around KSh3bn (3 percent of total expenditure). The Transition Authority is expected to verify assets and quantify all liabilities by end-December 2014.

⁵ The fact that some counties spent outside of funds released to their operational accounts does not imply an accumulation of arrears since budgets are on a cash basis.

8. **Some devolution-related wage bill issues could have negative fiscal implications on general government finances.** First, counties have embarked on an ambitious hiring process, potentially duplicating positions of national staff in counties and adding to already large redundancies. Second, the FAD TA report states that around 4,200 new staff (legislative officials and county executives) may be added to the 2,600 staff already in place. Third, former local authority staff and members of county assemblies have awarded themselves substantial wage increases during 2013/14. All this could create significant pressures on general government finances in the medium term unless the national government adopts clear wage and remuneration policies and guidelines ideally in the context of a rationalization program.
9. **Distortions created by the formula for the allocation of resources among counties need to be addressed.** During the first year of implementation, county budgets had already been adopted before specific functions were transferred to the counties. Moreover, some functions remained within the national government even though the funds had been transferred to counties. These distortions result in further pressures on central government finances.
10. **County borrowing should be consistent with the medium-term fiscal framework.** At the moment, borrowing by counties requires government guarantees according to the constitution and should only be used to finance development projects. The National Treasury is determined to provide guarantees to counties only after they develop an adequate capacity to monitor their fiscal risks, with resources being made available in line with the counties' capacity to repay and debt sustainability. This approach should be formalized to avoid potential impact on fiscal sustainability if these guarantees are de-facto called.
11. **Accountability for public resources at counties remains weak.** Counties are independent according to the Constitution, but their policies should be consistent with national government policies. Current spending includes non-negligible allocations to domestic and foreign travel, purchase of motor vehicles and MCA allowances to members of the county assemblies with unclear justification. Accountability in this regard should be strengthened by county assemblies, the Kenya Audit Office and the Parliament.
12. **The Intergovernmental Fiscal Relations Department could help address transitional challenges.** A first step would be to fully staff the Department as early as possible. Once the Intergovernmental Fiscal Relations Department is staffed, it will provide fiscal oversight over country budgets, fiscal reporting and fiscal policy, develop a repository of fiscal data for counties, and help to improve accountability of counties for public resources.⁶ Complementary policy actions would also cover areas such as wage bill sustainability, composition of spending, legacy debt and potential borrowing by counties.⁷ The National Treasury has proposed a structure to provide financial oversight of counties.

⁶ The Public Service Commission has approved recruitment of the top three officials for this department.

⁷ This role will be especially significant when counties start applying for loan guarantees.